

# Workforce Strain in the Production of Accounting Estimates: Evidence from CECL Adoption

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## Abstract

I examine whether an information-intensive accounting standard strains the specialized workforce involved in its implementation and whether workforce conditions are associated with the informativeness of accounting estimates. Using bank regulatory filings and Glassdoor reviews classified by job function, I study U.S. banks' adoption of the current expected credit loss (CECL) standard. Following adoption, risk-function employees report lower work-life balance and more workload complaints relative to other employees within the same bank. Former employees contribute a larger share of risk-function reviews following adoption, consistent with departures as a possible response. Yet lower work-life balance and more workload complaints remain evident among current-employee reviewers. Credit-loss allowances are more strongly associated with subsequent net charge-offs when prior risk-function work-life balance is higher. This association is stronger under CECL than under the incurred-loss model at the four-quarter horizon. The findings identify a nonpecuniary dimension of accounting implementation costs in employees' working conditions and connect these conditions with the informativeness of the resulting estimates.

**JEL classification:** G21; G28; J28; M41

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# 1. Introduction

Over the past two decades, accounting standards have increasingly relied on forward-looking, model-based, and judgment-intensive estimates in financial reporting<sup>1</sup>. These estimates can make reporting more relevant and timely (Beatty and Liao, 2014; Kim, Kim, Kleymenova and Li, 2026), but producing the required information can be costly. Their informational benefits must therefore be considered alongside the costs of implementation. As Ball (2024) emphasizes, however, many firm-level costs of accounting regimes are difficult to observe, and evidence on costs remains limited relative to evidence on benefits. Understanding these costs requires looking inside firms at the work involved in implementing new reporting requirements.

Accounting rules do not apply by themselves. They are implemented through people who supply the data, analysis, and judgment that complex estimates require. When a new standard requires firms to collect additional information or perform more extensive analysis, it can increase demands on the employees responsible for this work. Firms can respond by hiring, reorganizing, or outsourcing, but employees may still face greater demands on their time and attention. These demands can affect their working conditions and may also matter for the quality of the estimates they help produce (Khavis and Krishnan, 2021). The potential consequences for output quality are especially relevant for forward-looking estimates, which rely on uncertain inputs that are often difficult to verify (Watts, 2003; Bonsall, Schmidt and Xie, 2025). Workforce conditions may therefore connect the burden of implementing a standard with the informational benefits it is intended to deliver.

This paper asks whether an information-intensive accounting standard strains the specialized workforce responsible for its implementation. I also examine whether that workforce’s working conditions are associated with the informativeness of accounting estimates and whether this association is stronger under the new standard.

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<sup>1</sup>Examples include fair value measurement under ASC 820 and IFRS 13, variable consideration under ASC 606 and IFRS 15, and expected credit loss estimation under ASC 326 and IFRS 9.

I examine these questions in the setting of U.S. banks' adoption of the current expected credit loss (CECL) standard. CECL requires banks to estimate lifetime expected credit losses using historical experience, current conditions, and reasonable and supportable forecasts (FASB, 2016). Lending is central to banks' business, and the allowance for credit losses is a major accounting estimate supported by specialized employees who assess credit risk and develop and validate loss models. Therefore, CECL's additional demands for borrower information and forward-looking analysis fall within these employees' core responsibilities, making it possible to trace the standard's incremental work to identifiable employee functions. Subsequent realized credit losses also provide an observable benchmark for assessing the information conveyed by the allowance. This setting therefore connects the working conditions of employees exposed to a new standard's requirements with the informativeness of an economically important estimate they help produce.

I combine FR Y-9C regulatory filings for U.S. bank holding companies (BHCs) from 2015 through 2024 with employee reviews from Glassdoor, focusing data collection on BHCs reaching \$5 billion in total assets. The baseline sample contains 1,826 BHC-quarter observations across 121 BHCs. Using reviewers' job titles, I identify risk-function employees and client-facing employees within each bank. Client-facing employees provide a comparison group because CECL's additional estimation requirements fall outside their core responsibilities and are therefore less likely to directly affect their workplace experience. I use work-life balance (*WLB*) ratings to measure employees' working conditions and construct the difference in average *WLB* between the two groups within the same bank and four-quarter review window. I then use a difference-in-differences design to examine whether this gap declines following CECL adoption, accounting for persistent differences across banks and common changes over time.

Following CECL adoption, risk-function employees report a deterioration in working conditions. Their *WLB* declines by 0.358 points relative to client-facing employees, approximately 0.54 standard deviations of the within-bank gap. This decline reflects worsening

risk-function *WLB*, while client-facing *WLB* changes little. Employees' written reviews corroborate the increase in work demands, with workload complaints rising by 5.7 percentage points relative to client-facing reviews. Other ratings among risk-function employees show no broad decline, suggesting that the deterioration centers on work demands rather than general employee dissatisfaction. The decline in relative *WLB* is also greater at banks with larger pre-adoption shares of heterogeneous loans, whose monitoring requires more borrower-specific information. This pattern supports the interpretation that CECL's additional information demands place pressure on the employees involved in credit-loss estimation.

One potential consequence of greater workload strain is employee exit. I use changes in the proportion of reviews posted by former employees as indirect evidence on employee departures. Following CECL adoption, this proportion increases significantly among risk-function reviewers relative to the comparison group, consistent with increased departures. This shift in reviewer composition could also help explain the deterioration in reported working conditions if dissatisfied employees are more likely to post negative reviews after leaving. However, restricting the analyses to current-employee reviews yields qualitatively similar declines in *WLB* and increases in workload complaints, suggesting that the workload pressure remains evident among reviewers currently employed at the bank.

Risk-function working conditions are also associated with the informativeness of the estimates these employees help produce. I assess allowance informativeness through the relation between current allowances and subsequent net charge-offs, using *WLB* measured over the preceding four quarters. Allowances are more strongly associated with losses realized over the subsequent two and four quarters when prior risk-function *WLB* is more favorable, after accounting for other employees' working conditions. This evidence connects conditions within the risk function to the information conveyed by a central accounting estimate.

This association is stronger under CECL, which requires employees to evaluate a broader set of forward-looking information. At the four-quarter horizon, a one-standard-deviation

higher prior risk-function *WLB* is associated with a 13.8 percent higher allowance coefficient under CECL, compared with approximately 0.3 percent under the incurred-loss model, holding prior other *WLB* at its sample mean. The cross-regime difference is statistically significant at this horizon. The pattern also extends to changes in working conditions. Conditional on earlier *WLB*, recent improvements in risk-function *WLB* have a more positive association with allowance informativeness under CECL. The results suggest that the relation between employee working conditions and the information in accounting estimates depends on the information requirements of the accounting regime.

This study contributes to research on the costs of implementing accounting standards by documenting the workload burden experienced by specialized employees. Prior studies identify staffing responses to new standards (Huang, Enache, Moldovan and Srivastava, 2025; Roh, 2025), changes in the nature and appeal of accounting work (Le, 2026), and reporting impairments in areas outside the newly adopted standard (Anding, 2026). I extend this evidence by examining how the demands of producing forward-looking accounting estimates are reflected in the working conditions of employees performing these tasks. Following CECL adoption, risk-function employees report lower work-life balance and more workload complaints relative to comparison employees within the same bank. These findings complement evidence on firms' implementation investments by showing how the required work is experienced by the specialized workforce. They identify a nonpecuniary dimension of implementation costs that personnel and systems expenditures do not directly capture, providing evidence on the difficult-to-observe costs of accounting emphasized by Ball (2024).

The study also contributes to research on human capital and financial reporting by showing that the association between employee working conditions and accounting estimate informativeness differs across accounting regimes. Prior research links employee compensation and work-life balance to reporting and audit quality (Armstrong, Kepler, Larcker and Shi, 2024; Khavis and Krishnan, 2021). Research on CECL shows that the standard changes banks' information production and increases the influence of loan-loss forecast biases on

provisions (Kim et al., 2026; Bhojraj, Kleymenova, Liu, Lu and Sengupta, 2025). Using subsequent four-quarter credit losses to assess allowance informativeness, I find a stronger positive association between prior risk-function work-life balance and informativeness under CECL than under the incurred-loss model. These findings suggest that understanding the role of human capital in financial reporting requires attention to the demands placed on employees by the accounting standard.

The findings also inform the FASB’s post-implementation review of CECL, which evaluates implementation and ongoing compliance costs alongside the standard’s benefits (Financial Accounting Standards Board, 2026). By documenting employees’ working conditions and their association with allowance informativeness, this study provides evidence relevant to both the burden of implementing the standard and the information produced under it. The findings suggest that employees’ working conditions are a useful consideration alongside personnel and systems expenditures when assessing implementation.

The remainder of this study is organized as follows. Section 2 presents the institutional background and develops the hypotheses. Section 3 describes the data, sample, and variable measurement. Section 4 presents the empirical approach and main results. Section 5 reports additional analyses. Section 6 concludes.

## **2. Background and Hypothesis Development**

Information-intensive accounting standards can increase the work required to produce financial reports by expanding the data, analysis, and judgment underlying accounting estimates. Meeting these requirements depends on the employees who perform the work and the resources available to them. Although many implementation costs are difficult to observe (Ball, 2024), recent studies document increased demand for accounting personnel during the implementation of new standards (Huang et al., 2025; Roh, 2025; Kim et al., 2026). This

evidence indicates that firms seek additional resources, but does not establish whether those resources are sufficient to absorb the work required of employees.

CECL provides a setting in which these additional requirements can be traced to specific estimation activities. For financial assets measured at amortized cost, the standard replaces incurred-loss recognition with estimates of losses expected over their remaining contractual lives. Banks must incorporate historical experience, current conditions, and reasonable and supportable forecasts into these estimates (FASB, 2016). Producing this information places additional responsibilities on preparers. The FASB acknowledged this consequence when it noted that CECL would shift some loss-estimation costs from financial statement users to preparers, even as it expected costs for the system as a whole to decline (FASB, 2016, para. BC12).

These responsibilities involve substantial work in developing and maintaining the estimation process. In the FASB’s post-implementation review, financial institutions reported considerable effort devoted to validating data, modifying business processes, and evaluating CECL models through parallel runs and backtesting (FASB, 2026). These activities draw on expertise in credit assessment, forecasting, and model validation. Consistent with the relevance of this expertise, Kim et al. (2026) identify credit-risk analytics and quantitative positions among the common titles in CECL-related job postings. Although implementation also involves other functions, risk-function employees are particularly exposed because their core responsibilities overlap with these estimation activities.

This exposure extends beyond establishing the initial estimation process. Banks must update their allowances at subsequent reporting dates, requiring them to reassess the information and judgments underlying their estimates as borrower conditions and economic expectations change (FASB, 2016). CECL therefore introduces recurring demands on the employees involved in producing these estimates. The potential burden depends on how banks accommodate this continuing work alongside employees’ existing responsibilities.

Banks can accommodate the additional work by recruiting employees, redistributing responsibilities, investing in information systems, or obtaining external assistance. These responses can expand available resources or reduce the effort required for particular tasks, but they also entail costs. Recruiting and retaining specialists requires continuing personnel expenditures, while integrating new employees and implementing systems takes time and input from existing staff. These adjustment costs may leave existing employees to absorb part of the additional work. Because risk-function employees are more directly exposed to CECL's estimation requirements, I expect their workload strain to increase relative to that of other employees within the same bank. This reasoning motivates my first hypothesis:

**H1.** Following CECL adoption, risk-function employees experience a greater increase in workload strain than employees in the same bank whose responsibilities are less directly affected by CECL's estimation requirements.

The working conditions of risk-function employees may also matter for the information conveyed by the allowance for credit losses. Allowance informativeness concerns how well the estimate reflects information about subsequent credit losses. Producing an informative allowance requires banks to identify relevant borrower information, assess its implications, and incorporate those assessments into the reported estimate. Altamuro and Beatty (2010) document improvements in loan loss provision validity following stronger internal control requirements, suggesting that credit-loss reporting depends on the process through which estimates are produced.

Employees' time and attention are important inputs into that process. Competing demands may limit their ability to verify data, reassess assumptions, and investigate unusual model outputs. Relevant changes in borrowers' repayment prospects may consequently receive insufficient attention or be inadequately reflected in the estimate. Related evidence links limited firm resources to internal control weaknesses and control deficiencies to lower accrual quality (Doyle, Ge and McVay, 2007; Ashbaugh-Skaife, Collins, Kinney Jr and La-

Fond, 2008). In the audit setting, Khavis and Krishnan (2021) find that better employee work-life balance is associated with higher audit quality. This reasoning suggests that more favorable working conditions among risk-function employees are associated with a stronger relation between reported allowances and subsequent credit losses. This discussion leads to the following hypothesis:

**H2a.** More favorable working conditions among risk-function employees are associated with greater allowance informativeness.

The importance of these conditions may differ across accounting regimes because the regimes differ in how employees' judgments enter the allowance. Under the incurred-loss model, recognition depended on evidence that losses were probable and had been incurred. Although this assessment required judgment, the recognition threshold limited the extent to which expectations about future losses could enter the reported estimate. CECL removes that threshold and requires banks to incorporate reasonable and supportable forecasts into lifetime expected-loss estimates (FASB, 2016). By making a broader set of expectations relevant to recognition, CECL increases the scope for employees' evaluation of uncertain information to influence the allowance.

Evidence on forecasting inputs supports this distinction. Canals-Cerdá (2026) shows that CECL estimates are more sensitive to macroeconomic forecast error and model misspecification than estimates under the incurred-loss framework. Using confidential supervisory forecasts, Bhojraj et al. (2025) document systematic forecast errors whose association with loan loss provisions is more pronounced among CECL adopters. Similarly, Bonaldi, Liang and Yang (2023) report pandemic-period patterns in provisioning and earnings quality that they interpret as greater accounting noise and reporting bias under CECL. These findings suggest that imperfections in forward-looking inputs can have important reporting consequences. To the extent that employees' time and attention help them evaluate these inputs, their working conditions may be more consequential for allowance informativeness under

CECL.

Banks may nevertheless protect the quality of allowance estimates from pressures on employees. They can prioritize estimation when allocating staff and managerial attention, preserving critical tasks while employees absorb additional demands elsewhere. Standardized systems and external specialists may reduce the effort required of individual employees, while review procedures and supervisory scrutiny may help identify shortcomings in the estimation process. These arrangements could allow banks to maintain estimate quality even when the employees involved experience greater strain.

These safeguards may limit the reporting consequences of employee strain. CECL nevertheless expands the uncertain information that employees must evaluate, making their time and attention potentially more important to the allowance estimation process. I therefore predict that the positive association between risk-function working conditions and allowance informativeness is stronger under CECL:

**H2b.** The positive association between risk-function employees’ working conditions and allowance informativeness is stronger under CECL than under the incurred-loss regime.

### 3. Data and Sample

#### *3.1. Sample Construction*

I combine quarterly FR Y-9C regulatory filings for U.S. bank holding companies (BHCs) with employee reviews from Glassdoor. The analysis covers 2015Q1 through 2024Q4 at the BHC-quarter level. Regulatory filings through 2025Q4 provide subsequent net charge-offs for observations near the end of the sample period.

Glassdoor data collection targets BHCs whose total consolidated assets reach at least \$5 billion in the regulatory data. This restriction focuses collection on institutions likely to

have sufficient reviews for comparisons across employee functions. I use the WRDS Bank Structure database to link commercial-bank subsidiaries to their ultimate parent BHCs. I match parent and subsidiary names to Glassdoor employer pages using name variants and manually review unresolved matches. Online Appendix Sections OA3.1 and OA3.2 describe the matching procedure, review collection, and data-integrity checks.

The baseline workforce analyses include both adopting BHCs and BHCs that remain untreated during the sample period. The WLB analysis requires at least three total reviews and a nonmissing mean *WLB* rating for each of the risk and comparison groups within the relevant review window. The textual analysis requires at least three *Cons* reviews with valid workload classifications from each group but does not require WLB ratings. The resulting WLB and textual estimation samples contain 1,826 and 1,832 BHC-quarter observations, respectively, each spanning 121 BHCs. Within each panel of Table 2, the two gap measures and the three group outcomes use the same estimation sample.

The allowance informativeness analyses are restricted to BHCs that adopted CECL by 2024Q4. I apply the WLB coverage requirements to the risk and Other groups using historical reviews. The immediately preceding review window must fall within the same accounting regime as the allowance quarter, and subsequent credit-loss data must be available. At the four-quarter future-loss horizon, the pooled specification in Table 4 and the regime-specific level specification in Table 5, Panel A, contain 1,471 and 1,470 observations, respectively, each spanning 110 BHCs. The additional historical review window required for the conditional-change specification in Table 5, Panel B, reduces its sample to 1,036 observations from 76 BHCs.

I winsorize the time-varying financial controls, the allowance ratio, and the future net charge-off ratios at the 1st and 99th percentiles over the full 2015Q1–2024Q4 panel before imposing specification-specific sample restrictions. Ratings, complaint rates, and reviewer-status shares are not winsorized. Appendix A provides the variable definitions.

## 3.2. *Measures of Workforce Conditions*

### 3.2.1. *Employee reviews and work-life balance*

Glassdoor allows current and former employees to review their employers anonymously. Reviews provide an overall employer rating and can include separate ratings for Work/Life Balance, Senior Management, Compensation and Benefits, Career Opportunities, and Culture and Values. Ratings range from one to five, with higher values indicating more favorable assessments. Reviews also report posting dates, employment status, job titles when available, and written comments. The baseline construction retains reviews across employment statuses and locations. Employment status is self-reported when the review is posted; Section 5.1 uses this information to examine former-reviewer shares and working conditions reported by current employees.

Employees' working hours and workload strain are generally unobservable to outside researchers. I therefore use the Work/Life Balance (*WLB*) rating as a proxy for the strain employees experience from work demands. Khavis and Krishnan (2021) similarly use Glassdoor WLB ratings to examine working conditions in accounting firms and find that better WLB is associated with higher audit quality. Demands on employees' time and attention can interfere with their lives outside work even when they remain satisfied with their compensation, career prospects, or employer more broadly. An overall employer rating may obscure these difficulties, whereas WLB focuses specifically on employees' ability to balance work with life outside work. To assess whether the empirical patterns are specific to work-life balance, I examine the other rating dimensions as comparison outcomes in Section 5.2. I also analyze written comments in the *Cons* section to characterize employees' work demands and examine changes in specific workload complaints following CECL adoption. Section 4.1 describes the workload measure and its empirical specification. Online Appendix Sections OA5.1–OA5.3 document the complaint taxonomy, coding procedure, and reconciliation checks.

### 3.2.2. *Function classification*

I use reviewers’ self-reported job titles to identify a risk-function group whose occupations are more likely to contribute to credit-loss estimation. Because job titles provide limited information about the responsibilities they entail, I collect 26,529 job postings from Glassdoor employer pages matched to BHCs and their subsidiaries in my data.<sup>2</sup> I use these descriptions to interpret how selected title expressions map into work responsibilities and to refine the boundaries of fixed keyword rules for the risk group. The rules identify titles associated with credit assessment and underwriting, risk management, model development and validation, quantitative and portfolio work, and selected research, economics, actuarial, stress-testing, and loss-forecasting roles. I then apply the fixed rules to normalized titles in historical reviews. The classification identifies occupations exposed to credit-loss estimation rather than individual reviewers’ verified participation in CECL implementation.

After applying the risk rules, I use GPT-5.6 Luna to classify the remaining reported titles into nine predefined occupational categories covering client-facing work, markets, accounting and finance, compliance, audit, operations, IT and data, projects and transformation, and corporate support. The model receives only the job title and the category definitions. Titles that identify occupations outside these categories are classified as *other*. Reviews with missing titles and titles that do not identify a sufficiently clear function are classified as *unknown*. Online Appendix Sections OA4.1–OA4.3 describe the recruitment-posting evidence, fixed risk rules, and classification of the remaining functions.

Among these categories, client-facing employees form the primary comparison group. Their core responsibilities center on serving customers, maintaining relationships, and generating business rather than producing or validating the bank’s credit-loss estimates. The within-bank comparison therefore contrasts employees who share the same organizational environment but differ in their occupational exposure to CECL’s estimation demands.<sup>3</sup> Client-

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<sup>2</sup>Job descriptions are available for 26,527 postings.

<sup>3</sup>Related research also uses within-firm occupational comparisons. For example, Jiang and Shen (2026)

facing reviews are also sufficiently numerous to support BHC-quarter measures, whereas reviews from narrower potential comparison groups such as human resources and marketing are sparse.

To assess whether the findings depend on the choice of comparison group, I also report the main workforce analyses using a broader comparison group labeled Other. This group includes all reviews not classified as risk, including client-facing reviews and reviews with missing or insufficiently informative job titles. Client is therefore a subset of Other. The broader Other benchmark is distinct from the residual occupational category *other* assigned by the title classifier.

### 3.2.3. *The WLB-gap*

I aggregate individual ratings within each BHC to compare risk-function work-life balance with that of other employees. Glassdoor records posting dates but not the dates of the experiences described in a review. Reviews also arrive irregularly, so quarterly averages can be sensitive to when individual employees choose to post.

For H1, I use reviews posted from quarter  $t$  through  $t+3$  to construct the measure indexed to quarter  $t$ .<sup>4</sup> This window allows reviews posted after quarter  $t$  to contribute to the measure and reduces sensitivity to the irregular arrival of reviews. I interpret the measure as reported working conditions over the four-quarter period beginning in  $t$ . The 2024Q4 endpoint applies to the index quarter, and its review window extends through 2025Q3.

Because windows immediately preceding CECL adoption would otherwise include reviews posted after adoption, I require the focal quarter and all three subsequent quarters to fall within the same accounting regime. For adopting BHCs, this restriction excludes the three quarters immediately preceding adoption and prevents a pre-adoption WLB measure from

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compare corporate accountants with human resource employees within the same firm when examining the labor-market consequences of restatements.

<sup>4</sup>For example, the observation indexed to 2020Q1 uses reviews posted from January 1 through December 31, 2020.

mechanically incorporating reviews posted during the post-adoption period.

Within each group, I average all nonmissing WLB ratings in the window, giving equal weight to each observed rating. I define the resulting measure as

$$WLB\_gap_{i,t} = \overline{WLB}_{i,t}^{\text{risk}} - \overline{WLB}_{i,t}^{\text{comparison}}. \quad (1)$$

The comparison mean is based on client-facing employees in the primary specification and on the Other group in the alternative specification. A higher value indicates that risk-function employees report more favorable work-life balance than the comparison group. Constructing both means for the same BHC and review window differences out contemporaneous influences to the extent that they affect the two groups similarly. I also estimate the H1 specification separately for risk-function and comparison-group WLB on the same sample, thereby decomposing the coefficient on  $WLB\_gap$  into changes in its two components. Online Appendix Sections OA6.1 and OA6.2 describe the aggregation and forward-window construction.

### 3.3. Allowance Informativeness

For H2, I examine the association between the allowance reported at the end of quarter  $t$  and subsequent net charge-offs. The allowance records estimated credit losses in the outstanding loan portfolio, while subsequent charge-offs provide an observable benchmark for evaluating those estimates. Following research that relates credit-loss estimates to subsequent charge-offs (Altamuro and Beatty, 2010; Beatty and Liao, 2014), I use the allowance coefficient in a regression of future net charge-offs as a measure of allowance informativeness. Within a given horizon and specification, a larger positive coefficient indicates a stronger conditional relation between reported allowances and subsequent losses.

I obtain the allowance for loan and lease losses and net charge-offs from FR Y-9C filings. I use the allowance because it represents the stock of estimated losses associated with the

outstanding loan portfolio. In comparison, the provision is a period flow that also reflects changes in the allowance and the replenishment of charge-offs recognized during the quarter. I measure future losses as cumulative net charge-offs over the subsequent one, two, or four quarters. Both the allowance and future net charge-offs are scaled by gross loans and leases at the end of quarter  $t$ . These finite horizons measure the information in the current allowance about losses realized over the following quarters rather than the complete realization of the allowance.

To examine whether allowance informativeness depends on prior risk-function working conditions, I construct prior risk-function *WLB* using reviews posted during quarters  $t - 4$  through  $t - 1$ . I average all nonmissing ratings using the same function classifications and equal-weighting approach as in H1. This historical window places the workforce measure before the quarter- $t$  allowance. I construct prior Other *WLB* over the same window and include it and its allowance interaction to account for broader workforce conditions. I then test whether the association between the allowance and subsequent net charge-offs varies with prior risk-function *WLB*. The interaction between the allowance and prior risk-function *WLB* is the focal coefficient. A positive interaction indicates that the allowance maps more strongly into subsequent loss realizations when prior risk-function work-life balance is more favorable.

I retain an observation only when quarter  $t$  and all four quarters in the immediately preceding review window fall entirely before or entirely after CECL adoption. This requirement excludes the adoption quarter and the following three quarters because their historical windows include pre-adoption reviews. Accounting regime is assigned from the quarter- $t$  allowance; the subsequent quarters used to measure realized net charge-offs need not remain in that regime.

The conditional-change specification additionally measures earlier risk-function *WLB* using reviews posted during quarters  $t - 8$  through  $t - 5$ . The change measure equals prior

risk-function WLB minus this earlier level, so positive values indicate improvement. Each risk-function window requires at least three total reviews and an observed WLB mean. The earlier window serves as the conditioning baseline and may cross adoption. Section 4.3 describes the regression specifications, including the earlier level and its allowance interaction, and Online Appendix Section OA6.3 provides the historical-window construction details.

### 3.4. *CECL Adoption*

I determine each BHC’s CECL adoption quarter in two steps. First, I identify a candidate adoption quarter from three transition-related fields in the FR Y-9C. BHCKJJ26 reports the cumulative effect of CECL adoption, BHCKJJ27 reports initial allowances recognized upon the acquisition of purchased credit-deteriorated assets on or after CECL becomes effective, and BHCKJJ28 reports the adoption effect on allowances for loans and leases held for investment and held-to-maturity debt securities (Board of Governors of the Federal Reserve System, 2020). The candidate date is the first quarter in which any of these fields is non-missing, including a reported zero. Because the regulatory fields do not always identify accounting adoption unambiguously, I verify adoption timing for each BHC against annual reports, SEC filings, and other public disclosures. I use this evidence to resolve discrepancies, including cases in which the raw regulatory date reflects a change in reporting entity or reporting scope rather than CECL adoption, and document the supporting source for each adjustment. Online Appendix Section OA2.2 describes the adoption-date review and its documentation. I denote the resulting adoption quarter by  $\tau_i$ . The indicator  $Post_{i,t}$  equals one when  $t \geq \tau_i$  and zero otherwise.

Adoption is concentrated in two principal cohorts. Under ASU 2019-10, SEC filers other than entities eligible to be smaller reporting companies were generally required to adopt for fiscal years beginning after December 15, 2019, while all other entities were required to adopt for fiscal years beginning after December 15, 2022 (FASB, 2019). These effective

dates generally correspond to adoption in 2020Q1 and 2023Q1 for calendar-year institutions. Temporary relief under the CARES Act, subsequently extended by the Consolidated Appropriations Act, 2021, also permitted eligible institutions in the earlier cohort to defer adoption until January 1, 2022, at the latest (FASB, 2016; U.S. Congress, 2020b,a). I classify institutions adopting in 2022Q1 or later as late adopters. Section 4.1 examines this group together with never-treated BHCs in Table 2, Panel C, to assess adoption occurring after the initial pandemic disruption.

### 3.5. *Descriptive Statistics*

Table 1 reports summary statistics for the WLB and allowance informativeness analyses. Panel A describes the 1,826 BHC-quarter observations from 121 BHCs used in the baseline H1 specification. The mean *WLB\_gap*, defined as risk-function WLB minus client-facing WLB, is 0.32, with a standard deviation of 0.66. The corresponding BHC-quarter means are 3.77 for risk-function WLB and 3.44 for client-facing WLB, indicating more favorable reported work-life balance among risk-function reviewers within the same bank and review window, on average. The median gap is 0.37, with an interquartile range of 0.00 to 0.70. The four-quarter review windows contain a mean (median) of 22.4 (8) risk-function reviews and 150.9 (45) client-facing reviews. Mean log assets are 18.21, and the mean capital ratio is 11.3 percent.

Panel B describes the 1,470 BHC-quarter observations from 110 adopting BHCs used in the four-quarter regime-specific level specification in Table 5, Panel A. The allowance averages 1.38 percent of gross loans, while net charge-offs realized over the following four quarters average 0.46 percent. The median four-quarter net charge-off rate is 0.20 percent. Prior risk-function WLB has a mean of 3.76 and a standard deviation of 0.67. Prior Other WLB has a mean of 3.50 and a standard deviation of 0.35.

## 4. Empirical Approach and Results

### 4.1. CECL Adoption and Employee Working Conditions

*H1* predicts that CECL’s incremental estimation demands worsen working conditions among risk-function employees. I test this prediction using client-facing employees within the same BHC as the primary comparison group. The two groups share the bank’s operating environment, while producing and validating credit-loss estimates falls outside client-facing employees’ core responsibilities. A decline in risk-function *WLB* relative to client-facing *WLB* following adoption would therefore be consistent with strain concentrated in the risk function.

For the baseline *WLB* specification, I estimate

$$\begin{aligned} WLB\_gap_{i,t} = & \beta_1 Post_{i,t} + \beta_2 Size_{i,t} + \beta_3 Capital_{i,t} + \beta_4 EBLLP_{i,t} \\ & + \beta_5 Deposit_{i,t} + \alpha_i + \gamma_t + \varepsilon_{i,t}, \end{aligned} \tag{2}$$

where  $i$  and  $t$  index BHC and calendar quarter, respectively. The dependent variable is *WLB\_gap*, as defined in Section 3.2.3.  $Post_{i,t}$  equals one beginning in BHC  $i$ ’s CECL adoption quarter and zero otherwise. *Size* is the natural logarithm of total assets, while *Capital*, *EBLLP*, and *Deposit* denote the capital, earnings-before-loan-loss-provisions, and deposit ratios, respectively. BHC fixed effects,  $\alpha_i$ , absorb persistent differences across banks, and calendar-quarter fixed effects,  $\gamma_t$ , absorb changes common to banks in a given quarter.

The coefficient of interest is  $\beta_1$ . It captures the change in risk-function *WLB* relative to client-facing *WLB* following CECL adoption, after controlling for the included bank characteristics and fixed effects. *H1* predicts  $\beta_1 < 0$ . I re-estimate Equation (2) using the component outcomes, the broader Other benchmark, and the corresponding workload-complaint outcomes as dependent variables. The Other group comprises all reviews not classified as

risk, including client-facing reviews and reviews with missing or insufficiently informative job titles.

As described in Section 3.2.3, an outcome indexed to quarter  $t$  uses reviews posted during quarters  $t$  through  $t + 3$ . For an adopting BHC, observations indexed to the three quarters immediately preceding adoption would therefore combine pre- and post-adoption reviews. I exclude quarters  $\tau_i - 3$  through  $\tau_i - 1$  so that every retained review window lies entirely before or entirely after adoption. Never-treated BHCs remain eligible throughout the sample period. Standard errors are clustered by BHC to account for serial dependence within banks, including dependence induced by overlapping review windows.

Panel A of Table 2 reports the full-sample *WLB* results. In column (1), the coefficient on *Post* is  $-0.358$  ( $p = 0.022$ ). Risk-function *WLB* therefore declines relative to client-facing *WLB* following CECL adoption. The estimate represents approximately 0.54 standard deviations of *WLB\_gap* in the estimation sample. The negative gap estimate could arise from lower risk-function *WLB*, higher client-facing *WLB*, or both. Columns (2) and (3) re-estimate Equation (2) separately for the two components using the same observations. Risk-function *WLB* declines by 0.340 points ( $p = 0.035$ ), whereas the coefficient for client-facing *WLB* is 0.017 and statistically insignificant ( $p = 0.802$ ). The relative decline is therefore concentrated in the risk-function component.

Columns (4) and (5) examine whether the result depends on the choice of comparison group. Using the broader Other group, the *WLB* gap declines by 0.319 points ( $p = 0.015$ ). The coefficient for Other *WLB* is small and statistically insignificant ( $-0.021$ ,  $p = 0.750$ ), compared with the 0.340-point decline in risk-function *WLB*. The decline in relative risk-function *WLB* therefore appears under both comparison-group definitions.

To examine the timing of the change in working conditions, I replace *Post* in the specification underlying Table 2, Panel A, column (1), with indicators for quarters relative to each bank's CECL adoption. Quarter  $-4$  is the reference period because it is the last four-quarter

review window composed entirely of pre-adoption reviews. I exclude quarters  $-3$  through  $-1$ , whose review windows span adoption, and pool observations at or before quarter  $-8$  and at or after quarter 12 into separate endpoint categories. The sample, controls, and fixed effects remain unchanged.

Figure 1 plots the estimates and their 90% confidence intervals. The pre-adoption coefficients are individually insignificant, and a joint test does not reject that they equal zero ( $p = 0.707$ ). These results provide no clear evidence of a differential pre-adoption trend in the Risk-Client WLB gap. Following adoption, all point estimates are negative. The estimates are statistically significant at the 10% level in quarters 2, 3, 4, 8, 9, and 10 and in the pooled category for quarter 12 and beyond. Among the remaining quarters, quarters 1, 5, and 7 narrowly miss the 10% threshold, with  $p$ -values above 0.100 but below 0.108. The consistently negative post-adoption estimates suggest that the deterioration extends beyond the initial implementation period.

I next examine employees' descriptions of their working conditions in the open-ended *Cons* field. Reviewers choose which negative experiences to describe, so these comments provide evidence about the concerns they find salient. If the decline in relative risk-function WLB reflects greater work demands, workload complaints should become more frequent among risk-function reviewers following adoption, relative to reviewers in the comparison groups.

To test this implication, I use GPT-5.6 Luna to code each nonempty *Cons* review along eight predefined dimensions of workplace complaints. The model receives only the review text, without information about the employer, employee function, review date, ratings, or CECL status. I focus on the workload and time-demands dimension, which captures complaints about excessive work volume or intensity, long hours or overtime, insufficient staffing that increases work demands, unreasonable deadlines, workload-related burnout, and explicitly poor work-life balance. Generic references to stress or pressure do not receive the

workload label unless the review connects them to work demands, time demands, or work-life balance.<sup>5</sup> For each BHC-quarter and employee group, I calculate the workload-complaint rate as the fraction of classified *Cons* reviews receiving the workload label, pooling reviews posted during quarters  $t$  through  $t + 3$ . I then construct the difference between the risk-function and comparison-group rates and re-estimate Equation (2) using the same timing convention, controls, and fixed effects as in Panel A. The textual sample requires at least three classified *Cons* reviews for each group.

Panel B reports the results. In column (1), the risk-minus-client difference in the share of reviews containing a workload complaint increases by 5.7 percentage points following CECL adoption ( $p = 0.087$ ). The component estimates locate this change in the risk function. The workload-complaint rate among risk-function employees increases by 5.7 percentage points ( $p = 0.036$ ), whereas the corresponding estimate for client-facing employees is effectively zero ( $p = 0.999$ ). For scale, the risk-function estimate represents approximately 34 percent of the 16.7 percent pre-adoption mean among treated BHCs. Column (4) yields a similar result when the broader Other group serves as the comparison group, with the relative workload-complaint rate increasing by 6.4 percentage points ( $p = 0.012$ ). Column (5) reports a small, statistically insignificant decline in the workload-complaint rate for the Other group ( $-0.7$  percentage points,  $p = 0.532$ ). Thus, the open-ended comments corroborate the rating evidence by showing that workload concerns become more prominent in risk-function employees' descriptions of the negative aspects of their work following CECL adoption.

A separate concern is that the main result reflects disruptions surrounding the onset of the COVID-19 pandemic, which coincided with CECL implementation for the principal early-adoption cohort in 2020Q1. The within-BHC gap differences out shocks that affect risk-

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<sup>5</sup>The remaining dimensions capture autonomy constraints, workflow frictions, role pressure, deficiencies in managerial support, job insecurity, career and reward concerns, and organizational justice. The dimensions are coded independently, so a review may receive multiple labels when it contains distinct complaints. Reviews containing a substantive complaint that satisfies none of the eight dimensions are assigned to a residual other-complaint category, while reviews containing no meaningful complaint are classified separately as no substantive complaint.

function and client-facing employees similarly, while calendar-quarter fixed effects absorb changes in this gap that are common across BHCs. Neither feature absorbs a pandemic shock that differentially changed the risk-client gap among the 2020 adopters. To examine this concern, Panel C re-estimates Equation (2) using BHCs that adopted in 2022Q1 or later and never-treated BHCs, excluding earlier adopters. The specification otherwise preserves the review-window requirements, controls, and fixed effects used in Panel A.

In this restricted sample, the risk-minus-client *WLB\_gap* declines by 1.539 points following CECL adoption ( $p < 0.001$ ). The component estimates again show a decline in risk-function working conditions. Risk-function *WLB* declines by 1.576 points ( $p < 0.001$ ), whereas the coefficient for client-facing *WLB* is  $-0.037$  and statistically insignificant ( $p = 0.780$ ). Column (4), using the broader Other benchmark, also yields a negative gap estimate ( $-1.793$ ,  $p < 0.001$ ). Column (5) shows that Other *WLB* increases by 0.217 points ( $p = 0.015$ ), which also contributes to the larger negative gap relative to this group. The same function-specific decline therefore appears among BHCs whose adoption occurred after the pandemic’s initial disruption, reducing the concern that the full-sample result arises solely from events surrounding the 2020 adoption cohort.

#### *4.2. Loan Composition and Workforce Effects*

The incremental information demands are unlikely to be uniform across loan portfolios. Residential and consumer loans are relatively homogeneous, whereas construction and land development, commercial real estate, and commercial and industrial loans require more borrower-specific information to monitor (Liu and Ryan, 2006; Bhat, Lee and Ryan, 2021; Kim et al., 2026). Estimating lifetime credit losses on these heterogeneous exposures may therefore require more effort to collect and update information about individual borrowers. I expect CECL’s incremental information demands to be greater at banks with a larger pre-adoption share of heterogeneous loans. If these demands account for the workforce patterns

in Table 2, the deterioration in relative risk-function WLB should be greater at these banks.

To test this prediction, I examine whether the post-adoption change in *WLB\_gap* differs between BHCs entering CECL with relatively high and low shares of heterogeneous loans. The joint specification is

$$\begin{aligned} WLB\_gap_{i,t} = & \beta_1 Post_{i,t} + \beta_2 Post_{i,t} \times HighShare_i \\ & + \beta_3 Post_{i,t} \times PreSize_i + \mathbf{\Gamma}'\mathbf{X}_{i,t} + \alpha_i + \gamma_t + \varepsilon_{i,t}, \end{aligned} \quad (3)$$

where *HighShare* identifies BHCs with relatively large pre-adoption shares of heterogeneous loans. Using the loan categories reported in the FR Y-9C, I calculate the share as construction and land-development loans, commercial real estate loans, and commercial loans divided by total loans and leases held for investment. Appendix A defines these categories. I average the quarterly shares over the eight quarters preceding adoption, requiring at least three available quarters, and hold the resulting measure fixed throughout the estimation period. Within each comparison-group sample, *HighShare* equals one for BHCs at or above the median of this pre-adoption measure. The coefficient of interest is  $\beta_2$ , which captures the incremental post-adoption change in *WLB\_gap* among high-share BHCs relative to low-share BHCs after allowing the post-adoption change to vary with pre-adoption size.

Loan composition varies with bank size. Smaller banks have greater relative concentrations of commercial real estate loans, whereas credit-card lending is concentrated among large noncommunity banks (Byun, Game, Jiron, Kapinos, Klemme and Loudis, 2021; Fritzdixon, 2022). In my samples, the pre-adoption heterogeneous-loan share is negatively correlated with bank size.<sup>6</sup> I measure *PreSize* as mean log assets over the eight quarters preceding adoption, requiring at least three observed quarters. This measure is constructed before winsorization and held fixed throughout the estimation period. Bank size may also affect

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<sup>6</sup>The correlations are  $-0.298$  in the Client comparison sample and  $-0.321$  in the Other comparison sample, both significant at the 1 percent level.

the workforce response to CECL because smaller institutions have fewer implementation resources (FASB, 2019; U.S. Department of the Treasury, 2020). Controlling for contemporaneous size does not allow the post-adoption change to vary with pre-adoption scale. I therefore include  $Post \times PreSize$  to distinguish loan-composition heterogeneity from size-related differences in the workforce response (deHaan, Moon, Shipman, Swanquist and Whited, 2023).

Table 3 reports the results. The sample includes BHCs that adopted CECL by 2024Q4 and have sufficient pre-adoption data to construct both the heterogeneous-loan share and bank size. Columns (1)–(3) use client-facing employees as the comparison group, and columns (4)–(6) use the broader Other group. Within each set of columns, the first specification includes the interaction between  $Post$  and  $HighShare$ , the second includes the interaction between  $Post$  and  $PreSize$ , and the third includes both interactions. Within each comparison-group sample, all three specifications use the same observations and the same median cutoff for  $HighShare$ .

Using client-facing employees as the comparison group, the coefficient on  $Post \times HighShare$  is  $-0.242$  ( $p = 0.096$ ) when the heterogeneous-loan interaction enters without the size interaction in column (1). In the joint specification in column (3), the coefficient is  $-0.323$  ( $p = 0.024$ ). Thus, after allowing the post-adoption change to vary with pre-adoption size, high-share BHCs experience an additional 0.323-point decline in risk-function  $WLB$  relative to client-facing  $WLB$ , compared with low-share BHCs. This differential is approximately 49 percent of the 0.66 standard deviation of  $WLB\_gap$  reported in Table 1. The estimates are similar when the comparison group is expanded to the broader Other group. The coefficient on  $Post \times HighShare$  is  $-0.269$  ( $p = 0.040$ ) in column (4) and  $-0.295$  ( $p = 0.025$ ) in the joint specification in column (6). The similarity in magnitude across the two benchmarks indicates that the relation between loan composition and the workforce effect is not specific to changes among client-facing employees<sup>7</sup>.

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<sup>7</sup>The interaction between  $Post$  and  $PreSize$  does not exhibit the same consistency across comparison

Overall, the post-adoption deterioration in risk-function working conditions is greater at BHCs entering CECL with loan portfolios that depend more heavily on borrower-specific assessment. The alignment between this predicted source of information demand and the observed workforce response strengthens the interpretation that the patterns in Table 2 reflect the additional information work required by CECL.

#### 4.3. *Risk-Function Working Conditions and Allowance Informativeness*

I next examine whether prior risk-function working conditions are associated with allowance informativeness. Subsequent charge-offs provide an ex post benchmark for evaluating allowance estimates (SEC, 2001; Beck and Narayanamoorthy, 2013; Bischof and Rudolf, 2025). Using the allowance and future-loss measures defined in Section 3, I test whether their association varies with prior risk-function *WLB* over one-, two-, and four-quarter horizons.

Table 4 estimates the pooled association using

$$\begin{aligned} FutureNCO_{i,t}^h = & \beta_1 Allowance_{i,t} + \beta_2 RiskWLB_{i,t}^{Prior} + \beta_3 Allowance_{i,t} \times RiskWLB_{i,t}^{Prior} \\ & + \beta_4 OtherWLB_{i,t}^{Prior} + \beta_5 Allowance_{i,t} \times OtherWLB_{i,t}^{Prior} + \mathbf{\Gamma}'\mathbf{X}_{i,t} + \alpha_i + \gamma_t + \varepsilon_{i,t}, \end{aligned} \quad (4)$$

where the prior *WLB* measures use reviews posted during quarters  $t - 4$  through  $t - 1$ . I require quarter  $t$  and all four quarters in the prior review window to fall within the same accounting regime. The H1 analysis uses a *WLB\_gap* to measure relative changes in working conditions, whereas H2 concerns the association between *risk-function* *WLB* and allowance informativeness. Using only the gap measure and its allowance interaction would restrict the corresponding Risk and comparison group coefficients to be equal in magnitude and

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groups. It is statistically insignificant when entered separately in columns (2) and (5). In the joint specifications, the coefficient is  $-0.102$  ( $p = 0.047$ ) using the client-facing benchmark and  $-0.034$  ( $p = 0.449$ ) using the broader Other benchmark. I therefore do not interpret these estimates as evidence of a general size gradient in CECL's workforce effects.

opposite in sign. H2 does not imply this restriction. I therefore enter prior Risk *WLB* and its allowance interactions, with  $\beta_3$  capturing the association between risk-function *WLB* and the allowance–future-loss relation. The vector  $\mathbf{X}_{i,t}$  includes log assets, the capital ratio, the EBLLP ratio, the deposit ratio, loan growth, the current net charge-off ratio, and the change in nonperforming loans. Prior Other *WLB* and its interaction with the allowance account for broader changes in working conditions across the bank and allow the allowance–future-loss relation to vary with those conditions. The model includes BHC and calendar-quarter fixed effects, and standard errors are clustered by BHC.

Table 4 reports the pooled estimates. The coefficient on *Allowance*  $\times$  *Prior Risk WLB* is 0.001 at the one-quarter horizon ( $p = 0.764$ ), 0.013 at the two-quarter horizon ( $p = 0.023$ ), and 0.040 at the four-quarter horizon ( $p = 0.008$ ). These estimates support H2a at the two- and four-quarter horizons, with a stronger allowance–future-loss association when prior risk-function *WLB* is more favorable.

To assess the economic magnitude of the four-quarter result, I calculate the marginal allowance coefficient implied by the interaction model. Because the allowance is interacted with both prior *WLB* measures, this coefficient equals  $\hat{\beta}_1 + \hat{\beta}_3 R + \hat{\beta}_5 O$ , where  $R$  and  $O$  denote prior risk-function and Other *WLB*, respectively. Evaluating this expression at the sample means of both measures yields an allowance coefficient of 0.152. Holding Other *WLB* at its mean and setting risk-function *WLB* one standard deviation above its mean increases the coefficient to 0.179.<sup>8</sup> Because both the allowance and future net charge-offs are scaled by quarter- $t$  gross loans, these estimates correspond to 15.2 versus 17.9 cents of cumulative four-quarter net charge-offs per dollar of allowance. The marginal allowance coefficient is approximately 18 percent larger at the higher level of risk-function *WLB*.

H2b predicts that the association documented in Table 4 becomes stronger when the quarter- $t$  allowance is reported under CECL. Table 5 evaluates this prediction using two

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<sup>8</sup>Using the four-quarter coefficient estimates and sample moments, the calculations are  $\hat{\beta}_1 + (\hat{\beta}_3 \times 3.756) + (\hat{\beta}_5 \times 3.501) \approx 0.152$  and  $\hat{\beta}_1 + [\hat{\beta}_3 \times (3.756 + 0.668)] + (\hat{\beta}_5 \times 3.501) \approx 0.179$ .

complementary measures of risk-function working conditions. Panel A retains the level of *WLB* during the immediately preceding review window, while Panel B examines its change relative to an earlier window.

I estimate regime-specific coefficients in a single regression by interacting every right-hand-side variable in Equation (4) with the incurred-loss and CECL indicators. BHC-by-regime and calendar-quarter-by-regime fixed effects allow the fixed effects to vary across regimes as well. Standard errors are clustered by BHC. Let  $\beta_{3,\text{Pre}}$  and  $\beta_{3,\text{Post}}$  denote the coefficients on *Allowance* $\times$ *Prior Risk WLB*. H2b predicts  $\beta_{3,\text{Post}} - \beta_{3,\text{Pre}} > 0$ . The sample includes BHCs that adopted CECL by 2024Q4 and satisfy the data requirements for the relevant horizon.

Panel A provides evidence consistent with H2b at the four-quarter horizon. Under the incurred-loss model, the coefficient on *Allowance* $\times$ *Prior Risk WLB* is 0.001 and statistically indistinguishable from zero ( $p = 0.860$ ). Under CECL, the corresponding coefficient is 0.054 ( $p = 0.002$ ). The difference between the two estimates is 0.053 ( $p = 0.003$ ), indicating that the allowance–future-loss association is more sensitive to prior risk-function *WLB* under CECL. The Post – Pre differences are small and statistically insignificant at the one-quarter (0.001,  $p = 0.933$ ) and two-quarter (0.017,  $p = 0.425$ ) horizons. The evidence for H2b is therefore concentrated in losses realized over the subsequent four quarters.

To gauge the magnitude of the four-quarter regime difference, I evaluate the marginal allowance coefficient at common values of the two *WLB* measures. Holding prior Other *WLB* at its sample mean, increasing prior risk-function *WLB* from its mean to one standard deviation above the mean changes the estimated allowance coefficient from 0.300 to 0.301 before CECL, an increase of approximately 0.3 percent. Under CECL, the same increase in risk-function *WLB* changes the allowance coefficient from 0.263 to 0.300, an increase of approximately 13.8 percent. Thus, the increase in the allowance slope associated with one-standard-deviation higher prior risk-function *WLB* is 0.035 larger under CECL than before

CECL ( $p = 0.003$ ). Because the allowance and future net charge-offs are scaled by the same loan base, this differential corresponds to 3.5 cents of cumulative four-quarter net charge-offs per dollar of allowance.

Panel A relates allowance informativeness to the level of prior risk-function *WLB*. Panel B asks whether a recent change in *WLB* is associated with the allowance–future-loss relation after accounting for earlier working conditions. I measure the change between two adjacent review windows and include the earlier *WLB* level and its interaction with *Allowance*. I define

$$\Delta RiskWLB_{i,t} = RiskWLB_{i,t}^{Prior} - RiskWLB_{i,t}^{Earlier}, \quad (5)$$

where *Prior Risk WLB* uses reviews posted during quarters  $t - 4$  through  $t - 1$ , and *Earlier Risk WLB* uses reviews posted during quarters  $t - 8$  through  $t - 5$ . Positive values indicate improving risk-function *WLB*, while negative values indicate deterioration.

Panel B includes *Earlier Risk WLB*,  $\Delta RiskWLB$ , and their respective interactions with *Allowance*. The coefficient on  $Allowance \times \Delta RiskWLB$  measures the association with recent changes in risk-function *WLB* conditional on its earlier level. Controls and regime-specific fixed effects follow Panel A.<sup>9</sup>

Panel B produces a similar cross-regime pattern. At the four-quarter horizon, the coefficient on  $Allowance \times \Delta RiskWLB$  is  $-0.012$  before CECL ( $p = 0.510$ ) and  $0.047$  under CECL ( $p = 0.057$ ). The Post – Pre difference is  $0.059$  ( $p = 0.048$ ). Conditional on the earlier *WLB* level, an improvement in risk-function *WLB* is therefore associated with a stronger allowance–future-loss mapping under CECL relative to the incurred-loss regime. Equivalently, a recent deterioration is associated with a weaker mapping. The corresponding regime differences are statistically insignificant at the one-quarter ( $-0.003$ ,  $p = 0.757$ ) and two-quarter ( $0.016$ ,  $p = 0.499$ ) horizons. The additional review window reduces the four-quarter sample from 1,470 observations across 110 BHCs in Panel A to 1,036 observations across 76 BHCs in

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<sup>9</sup>The earlier *WLB* window may span adoption; the prior *WLB* window and the allowance quarter must remain within the same accounting regime.

Panel B. Both specifications yield a positive four-quarter regime difference. Together with Table 4, these results support H2a at the two- and four-quarter horizons and H2b at the four-quarter horizon.

## 5. Additional Analysis

### 5.1. *How Do Employees Adjust to Greater Work Demands?*

The deterioration in working conditions documented in Table 2 raises a question about how employees respond to CECL’s implementation demands. Seeking employment elsewhere may offer relief from greater work demands, but employees may also have reasons to remain. Figure 2 provides descriptive context for this consideration. Weighting BHCs equally, risk-function reviewers report higher average ratings than client-facing reviewers for WLB, overall rating, career opportunities, culture and values, and senior leadership, while compensation and benefits ratings are similar. These relatively favorable assessments suggest that risk-function jobs have nonpecuniary attributes employees may value even as work demands increase. Employees considering departure thus weigh the prospect of improved working conditions elsewhere against the advantages of their current jobs.

Although the data do not directly measure turnover among risk-function employees, reviewers’ employment status provides indirect evidence of employee departures. Glass-door records whether reviewers identify as current or former employees when posting. An employee who leaves a bank and subsequently reviews that experience enters the former-employee category. More departures therefore expand the pool of former employees who may subsequently review their experience. Martin (2025) documents an increase in reviews from former employees following layoffs. Ghoshsamaddar, Marchetti and Sevchenko (2021) combine former-employee reviews with reported departure years to construct a proxy for employee departures. If more risk-function employees leave following CECL adoption, I would

therefore expect their former-employee review share to increase relative to the corresponding shares in the comparison groups.

I calculate former-employee reviews as a share of reviews with either current or former employment status within each employee group and four-quarter review window. I then replace WLB with this share and re-estimate the specifications in Table 2, Panel A, using the same estimation sample. Panel A of Table 6 shows that the former-employee share among risk-function reviewers increases by 16.6 percentage points following adoption ( $p = 0.005$ ). The increases relative to Client and Other are 16.9 and 16.1 percentage points, respectively ( $p = 0.003$  and  $p = 0.007$ ), while the changes within the comparison groups are small and statistically insignificant. Thus, the shift toward former-employee reviews is concentrated in the risk function, providing evidence consistent with increased departures among the employees most exposed to CECL’s implementation demands.

This finding also raises a question about how the change in reviewer composition contributes to the workforce results in Table 2. Employees who find the additional work demands particularly undesirable may be more likely to leave and subsequently post negative reviews of their former employer. As these reviews become more prevalent after adoption, the aggregate measures could indicate poorer working conditions even without a corresponding deterioration among current-employee reviewers.

I examine whether the deterioration is also apparent among current employees by reconstructing WLB and workload-complaint rates using only their reviews and re-estimating the corresponding specifications in Table 2. The review-coverage requirements are applied to the current-only measures, and each panel uses a common bank-quarter sample across its five columns. The timing conventions, controls, fixed effects, and clustering follow the main analysis. Panels B and C of Table 6 show that the core pattern remains. Among current reviewers, risk-function WLB declines by 0.487 points relative to Client ( $p = 0.035$ ) and 0.395 points relative to Other ( $p = 0.059$ ). Workload-complaint rates increase by 11.8 and

9.5 percentage points relative to the two groups, respectively ( $p = 0.034$  and  $p = 0.031$ ). These findings indicate that the negative pattern is not confined to reviews posted after employees have left the bank.

Together, the results are consistent with employee departures as one margin of adjustment, while poorer *WLB* and more frequent workload complaints remain evident among current risk-function reviewers.

## 5.2. *Do the Findings Reflect General Employee Dissatisfaction?*

An alternative explanation for the findings in Table 2 is that an unobserved change around CECL adoption made risk-function employees more dissatisfied with their employer relative to employees in the comparison groups. Such dissatisfaction could lower their reported *WLB* and make workload complaints more salient even if the underlying change was not primarily related to work demands. If this explanation accounts for the findings, I would expect negative changes in the risk-minus-comparison rating gaps across multiple dimensions, particularly in the overall rating, which captures employees' general assessment of their employer.

I replace *WLB* with overall rating, career opportunities, compensation and benefits, culture and values, and senior leadership, and re-estimate the specifications in Table 2, Panel A. The estimation sample is held fixed across all six ratings and five columns. Table 7, Panel A reports the results and reproduces the *WLB* estimates in its first row as a benchmark. Each cell reports the *Post* coefficient from a separate regression.

Panel A shows little evidence of a broad decline in risk-function employees' ratings. The coefficient for their *WLB* is  $-0.340$  ( $p = 0.035$ ), whereas the estimate for their overall rating is  $-0.023$  ( $p = 0.746$ ). The estimates for their remaining ratings range from  $-0.048$  to  $0.018$  and are statistically insignificant. The gap estimates generally follow this pattern, with one exception. The risk-minus-client compensation gap declines by  $0.250$  points ( $p = 0.036$ ).

Its components show that client-facing compensation ratings improve by 0.218 points ( $p = 0.044$ ), while risk-function compensation ratings change little ( $-0.033$ ,  $p = 0.758$ ). The decline in the compensation gap primarily reflects improved ratings among client-facing employees, with little estimated change among risk-function employees.

Table 7 Panel B examines whether the textual evidence displays a similar pattern. I extend the workload analysis to the other seven complaint categories defined in Section 4.1, using category-specific complaint rates and their corresponding employee-group gaps as dependent variables. The denominator is all successfully classified *Cons* reviews in the relevant group and review window. Because categories are nonexclusive, a review can contribute to more than one complaint rate. As in Panel A, I hold the sample fixed across all outcomes and columns within the panel. The textual sample is constructed separately and does not require rating availability.

Workload-complaint gaps increase under both comparison-group definitions. The risk-minus-client gap increases by 5.7 percentage points ( $p = 0.087$ ), and the risk-minus-Other gap increases by 6.4 percentage points ( $p = 0.012$ ). The component estimates also locate the increase in the risk function, where the workload-complaint rate rises by 5.7 percentage points ( $p = 0.036$ ). Among the remaining categories, only the job-security gaps increase significantly at the 10 percent level. The estimates are 4.2 percentage points relative to Client ( $p = 0.059$ ) and 3.9 percentage points relative to Other ( $p = 0.055$ ), both smaller than the corresponding workload estimates. These results suggest accompanying concerns about employment stability. The other complaint-gap estimates are statistically insignificant.

The preceding interpretation treats lower *WLB* and more frequent workload complaints as complementary evidence of greater work demands. I further examine whether workload complaints are more closely associated with employees' work-life balance than with their evaluations of other job attributes. Within risk-function reviews, I regress each rating on all eight complaint indicators, using a common sample and controlling for Glassdoor-page

and review-quarter fixed effects. Online Appendix Section OA7.3 and Table OA9 report the analysis.

Workload complaints are associated with a 0.935-point lower *WLB* rating, compared with coefficients ranging from  $-0.281$  to  $-0.114$  for the other ratings. In contrast, career-reward complaints are more closely associated with career-opportunity and compensation ratings. The workload–*WLB* association could nevertheless reflect comments that directly repeat work-life-balance terminology. After excluding such comments, the coefficient remains  $-0.775$ , indicating that the correspondence extends beyond explicit references to work-life balance.

Together, I find that the post-adoption changes are concentrated in *WLB* and workload complaints rather than spread broadly across employees’ evaluations. The review-level evidence further links workload complaints specifically to lower *WLB*, including when comments do not explicitly mention work-life balance. These findings support a workload-related interpretation of Table 2 and make general employee dissatisfaction a less complete explanation.

### *5.3. Sample Composition in the Allowance Analysis*

Table 5 compares the association between risk-function working conditions and allowance informativeness under the incurred-loss and CECL regimes. The banks contributing to these estimates need not be the same in both regimes. Each observation requires sufficient employee reviews, financial controls, and subsequent credit-loss data, and a bank may satisfy these requirements in only one regime. For example, a bank with adequate review coverage after adoption may have too few earlier reviews to enter the pre-adoption estimation sample. If the relation between workforce conditions and allowance informativeness differs across banks, changes in the set of banks represented could contribute to the estimated regime difference. I therefore examine whether the pattern in Table 5 remains when the same banks contribute observations to both regimes.

I re-estimate the four-quarter specifications in Panels A and B of Table 5, retaining BHCs with usable observations in both regimes in each model’s estimation sample. I apply this restriction separately to the two models. Variable definitions, controls, fixed effects, and inference follow the corresponding specifications in Table 5.

Table 8 reports the results. Column (1), using prior risk-function WLB, contains 1,003 observations from 46 BHCs, compared with 1,470 observations from 110 BHCs in the original sample. Column (2), using the change in risk-function WLB conditional on its earlier level, contains 680 observations from 28 BHCs, compared with 1,036 observations from 76 BHCs originally. The columns apply the same selection rule but use different sets of banks.

In column (1), the coefficient on *Allowance* interacted with prior risk-function WLB is 0.000 before adoption and 0.073 after adoption. The Post – Pre difference is 0.073 ( $p = 0.010$ ), compared with 0.053 in Table 5, Panel A. In column (2), the coefficient on  $Allowance \times \Delta RiskWLB$  is  $-0.015$  before adoption and 0.066 after adoption. The regime difference is 0.081 ( $p = 0.062$ ), compared with 0.059 in Table 5, Panel B. Both regime differences remain positive in the same-bank samples, with significance at the 5 percent level for the prior-WLB model and the 10 percent level for the conditional-change model. The pattern in Table 5 therefore remains when each model requires banks to contribute observations in both regimes.

## 6. Conclusions

This paper examines how the implementation demands of an information-intensive accounting standard are reflected in specialized employees’ working conditions and whether those conditions are associated with the informativeness of accounting estimates. Using CECL adoption as the setting, I combine Glassdoor reviews classified by employee function with bank regulatory filings to examine risk-function working conditions and the informa-

tiveness of banks' credit-loss allowances.

Following CECL adoption, risk-function employees report lower work-life balance and more frequent workload complaints relative to other employees within the same bank. The WLB decline also appears among late adopters and is greater at banks with larger pre-adoption shares of heterogeneous loans, whose monitoring requires more borrower-specific information. These patterns are consistent with additional information demands placing pressure on the employees involved in credit-loss estimation.

The additional analyses clarify how this burden appears in employee reviews. The share of risk-function reviews posted by former employees increases after adoption, providing indirect evidence consistent with employee departures as one margin of adjustment. Lower WLB and more frequent workload complaints remain apparent among current-employee reviewers, so the findings are not confined to retrospective reviews by employees who have left. Other rating dimensions do not exhibit a broad decline among risk-function employees, providing limited support for general employee dissatisfaction as an explanation.

Risk-function working conditions are also associated with allowance informativeness. In the pooled analysis, the allowance–future-loss association is stronger when prior risk-function WLB is more favorable at the two- and four-quarter horizons. The association is more sensitive to risk-function WLB under CECL at the four-quarter horizon, both for its prior level and for recent changes conditional on earlier WLB. Positive regime differences also remain when each model is restricted to banks observed under both accounting regimes.

These findings extend evidence on firms' demand for personnel during accounting-standard implementation by examining the working conditions of employees who perform the information work. Hiring and other organizational adjustments may expand available resources, but employees can still experience greater work demands after adoption. The allowance results further show that these working conditions are relevant to accounting production: their association with the allowance–future-loss relation is stronger under a standard that places

greater weight on forward-looking information and judgment.

The findings suggest that employee working conditions can inform assessments of accounting-standard implementation alongside personnel and systems expenditures and the properties of reported estimates. Longer post-adoption panels could examine whether the documented patterns change as banks refine their systems and employees gain experience with CECL. Understanding these adjustments would help clarify the organizational resources required to sustain the information production that accounting standards demand.

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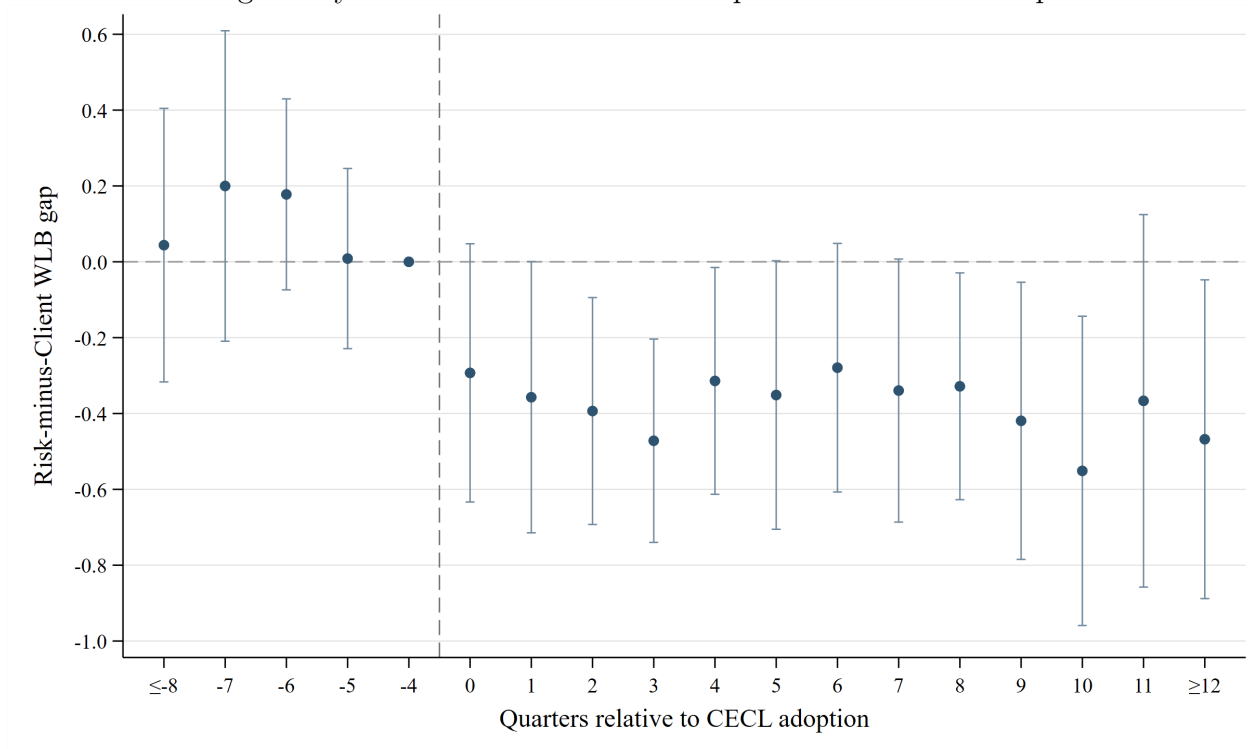
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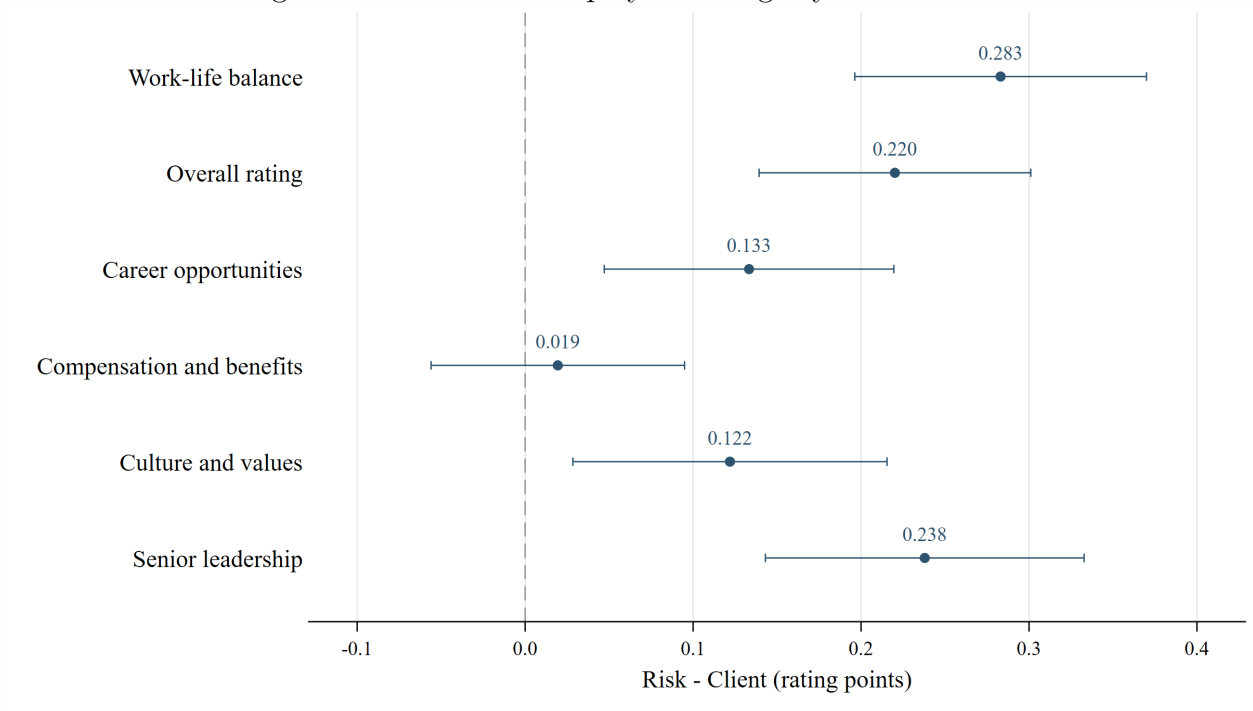
## Figures and Tables

Fig. 1. Dynamic Effects of CECL Adoption on the WLB Gap



*Notes:* This figure reports event-time estimates from the specification in Table 2, Panel A, column (1), replacing *Post* with indicators for quarters relative to CECL adoption. The dependent variable is Risk minus Client WLB, measured using reviews from quarters  $t$  through  $t + 3$ . Quarter  $-4$  is the reference period. Quarters  $-3$  through  $-1$  are excluded because their review windows span adoption; the horizontal axis compresses this interval. Endpoints pool quarters  $\leq -8$  and  $\geq 12$ . Vertical bars indicate 90% confidence intervals based on standard errors clustered by BHC.

Fig. 2. Differences in Employee Ratings by Job Function



*Notes:* This figure reports mean within-BHC Risk-Client rating differences using the full Table 2, Panel A estimation sample. Reviews are pooled within each BHC and employee group over the included review windows, counting each source review once per BHC. BHCs receive equal weight. Bars indicate pointwise 90% confidence intervals from paired t-tests across 121 BHCs.

Table 1: **Summary Statistics**

| <b>Panel A: Work-Life Balance Sample</b> |       |        |       |        |        |        |
|------------------------------------------|-------|--------|-------|--------|--------|--------|
| Variable                                 | N     | Mean   | SD    | P25    | Median | P75    |
| WLB Gap                                  | 1,826 | 0.323  | 0.662 | 0.000  | 0.369  | 0.702  |
| WLB (Risk)                               | 1,826 | 3.767  | 0.673 | 3.385  | 3.825  | 4.222  |
| WLB (Client)                             | 1,826 | 3.444  | 0.412 | 3.237  | 3.459  | 3.693  |
| Log(Assets)                              | 1,826 | 18.208 | 1.518 | 17.083 | 18.229 | 19.159 |
| Capital ratio                            | 1,826 | 0.113  | 0.033 | 0.092  | 0.109  | 0.127  |
| EBLLP ratio                              | 1,826 | 0.025  | 0.027 | 0.009  | 0.017  | 0.028  |
| Deposit ratio                            | 1,826 | 0.683  | 0.190 | 0.594  | 0.763  | 0.815  |
| Risk reviews                             | 1,826 | 22     | 38    | 4      | 8      | 21     |
| Client-facing reviews                    | 1,826 | 151    | 304   | 18     | 45     | 136    |
| BHCs                                     | 121   |        |       |        |        |        |

| <b>Panel B: Allowance Informativeness Sample (Four-Quarter Horizon)</b> |       |       |       |        |        |       |
|-------------------------------------------------------------------------|-------|-------|-------|--------|--------|-------|
| Variable                                                                | N     | Mean  | SD    | P25    | Median | P75   |
| Future NCO, $t + 1 - t + 4$                                             | 1,470 | 0.005 | 0.007 | 0.001  | 0.002  | 0.004 |
| Allowance                                                               | 1,470 | 0.014 | 0.010 | 0.009  | 0.012  | 0.015 |
| Prior risk WLB                                                          | 1,470 | 3.755 | 0.668 | 3.381  | 3.814  | 4.182 |
| Prior Other WLB                                                         | 1,470 | 3.501 | 0.355 | 3.309  | 3.518  | 3.702 |
| Current-quarter NCO                                                     | 1,470 | 0.001 | 0.002 | 0.000  | 0.000  | 0.001 |
| Change in NPL                                                           | 1,470 | 0.000 | 0.002 | -0.000 | 0.000  | 0.000 |
| Loan growth                                                             | 1,470 | 0.016 | 0.043 | -0.004 | 0.010  | 0.028 |
| BHCs                                                                    | 110   |       |       |        |        |       |

This table reports summary statistics for the samples in Table 2, Panel A, column (1), and Table 5, Panel A, column (3). WLB Gap is mean Risk WLB minus mean Client WLB, measured using reviews posted during quarters  $t$  through  $t + 3$ . Prior WLB uses reviews posted during quarters  $t - 4$  through  $t - 1$ . The sample period is 2015Q1–2024Q4. Financial variables are winsorized at the first and ninety-ninth percentiles before estimation-sample restrictions. Variable definitions are provided in Appendix A.

Table 2: CECL Adoption and Employee Working Conditions

**Panel A: Work-Life Balance, Full Sample**

| <i>Dependent variable</i> | (1)<br>Risk – Client | (2)<br>Risk         | (3)<br>Client     | (4)<br>Risk – Other | (5)<br>Other      |
|---------------------------|----------------------|---------------------|-------------------|---------------------|-------------------|
| Post                      | −0.358**<br>(0.154)  | −0.340**<br>(0.160) | 0.017<br>(0.069)  | −0.319**<br>(0.130) | −0.021<br>(0.066) |
| Log(Assets)               | −0.624***<br>(0.204) | −0.416**<br>(0.164) | 0.208<br>(0.157)  | −0.395**<br>(0.173) | −0.021<br>(0.129) |
| Capital ratio             | −2.014<br>(2.024)    | −2.898<br>(2.302)   | −0.884<br>(1.300) | −2.961<br>(1.847)   | 0.064<br>(1.374)  |
| EBLLP ratio               | −2.279*<br>(1.190)   | −2.081*<br>(1.098)  | 0.198<br>(0.554)  | −2.148*<br>(1.105)  | 0.067<br>(0.460)  |
| Deposit ratio             | 0.714<br>(0.820)     | 1.147<br>(0.879)    | 0.433<br>(0.358)  | 0.742<br>(0.809)    | 0.405<br>(0.283)  |
| Observations              | 1,826                | 1,826               | 1,826             | 1,826               | 1,826             |
| BHCs                      | 121                  | 121                 | 121               | 121                 | 121               |
| Within $R^2$              | 0.039                | 0.034               | 0.018             | 0.026               | 0.007             |
| BHC FE                    | Yes                  | Yes                 | Yes               | Yes                 | Yes               |
| Quarter FE                | Yes                  | Yes                 | Yes               | Yes                 | Yes               |

**Panel B: Workload Complaints, Full Sample**

| <i>Dependent variable</i> | (1)<br>Risk – Client | (2)<br>Risk        | (3)<br>Client    | (4)<br>Risk – Other | (5)<br>Other      |
|---------------------------|----------------------|--------------------|------------------|---------------------|-------------------|
| Post                      | 0.057*<br>(0.033)    | 0.057**<br>(0.027) | 0.000<br>(0.017) | 0.064**<br>(0.025)  | −0.007<br>(0.011) |
| Observations              | 1,832                | 1,832              | 1,832            | 1,832               | 1,832             |
| BHCs                      | 121                  | 121                | 121              | 121                 | 121               |
| Within $R^2$              | 0.010                | 0.009              | 0.022            | 0.009               | 0.003             |
| Controls                  | Yes                  | Yes                | Yes              | Yes                 | Yes               |
| BHC FE                    | Yes                  | Yes                | Yes              | Yes                 | Yes               |
| Quarter FE                | Yes                  | Yes                | Yes              | Yes                 | Yes               |

**Panel C: Work-Life Balance, Late-Adopter Analysis**

| <i>Dependent variable</i> | (1)<br>Risk – Client | (2)<br>Risk          | (3)<br>Client     | (4)<br>Risk – Other  | (5)<br>Other       |
|---------------------------|----------------------|----------------------|-------------------|----------------------|--------------------|
| Post                      | −1.539***<br>(0.218) | −1.576***<br>(0.184) | −0.037<br>(0.130) | −1.793***<br>(0.196) | 0.217**<br>(0.083) |
| Observations              | 263                  | 263                  | 263               | 263                  | 263                |
| BHCs                      | 26                   | 26                   | 26                | 26                   | 26                 |
| Within $R^2$              | 0.093                | 0.081                | 0.024             | 0.147                | 0.165              |
| Controls                  | Yes                  | Yes                  | Yes               | Yes                  | Yes                |
| BHC FE                    | Yes                  | Yes                  | Yes               | Yes                  | Yes                |
| Quarter FE                | Yes                  | Yes                  | Yes               | Yes                  | Yes                |

This table reports estimates of Equation (2). Panels A and C use WLB ratings, and Panel B uses workload-complaint rates, expressed as fractions. Post equals one beginning in the quarter of CECL adoption. Risk denotes risk-function employees; Client denotes client-facing employees. Other comprises all reviews not classified as Risk, including Client and reviews with missing or unclassified job titles.

Outcomes pool reviews posted during quarters  $t$  through  $t + 3$ ; windows spanning adoption are excluded. The five columns within each panel use a common sample. Panel C includes BHCs adopting CECL in 2022Q1 or later and never-treated BHCs. All specifications include the controls reported in Panel A. Variable definitions are provided in Appendix A.

Standard errors clustered by BHC are reported in parentheses. \*, \*\*, and \*\*\* denote two-sided significance at the 10%, 5%, and 1% levels, respectively.

Table 3: **Heterogeneous Treatment Effects**

|                                | WLB Gap (Risk – Client) |                      |                      | WLB Gap (Risk – Other) |                     |                     |
|--------------------------------|-------------------------|----------------------|----------------------|------------------------|---------------------|---------------------|
|                                | (1)                     | (2)                  | (3)                  | (4)                    | (5)                 | (6)                 |
| Post                           | -0.261<br>(0.164)       | 0.912<br>(0.894)     | 1.570<br>(0.970)     | -0.234<br>(0.149)      | -0.177<br>(0.868)   | 0.369<br>(0.830)    |
| Post $\times$ <i>HighShare</i> | -0.242*<br>(0.144)      |                      | -0.323**<br>(0.141)  | -0.269**<br>(0.130)    |                     | -0.295**<br>(0.130) |
| Post $\times$ PreSize          |                         | -0.072<br>(0.049)    | -0.102**<br>(0.051)  |                        | -0.009<br>(0.047)   | -0.034<br>(0.044)   |
| Log(Assets)                    | -0.519**<br>(0.227)     | -0.654***<br>(0.238) | -0.639***<br>(0.236) | -0.289<br>(0.184)      | -0.348*<br>(0.206)  | -0.330<br>(0.202)   |
| Capital ratio                  | -2.094<br>(1.934)       | -3.084<br>(2.102)    | -2.347<br>(1.968)    | -3.044*<br>(1.833)     | -3.699*<br>(1.960)  | -3.131<br>(1.899)   |
| EBLLP ratio                    | -2.156*<br>(1.102)      | -2.798**<br>(1.129)  | -2.478**<br>(1.032)  | -1.743*<br>(0.947)     | -2.141**<br>(0.971) | -1.842**<br>(0.930) |
| Deposit ratio                  | 1.334*<br>(0.761)       | 1.404*<br>(0.790)    | 1.285*<br>(0.766)    | 1.165<br>(0.726)       | 1.299*<br>(0.760)   | 1.149<br>(0.729)    |
| Observations                   | 1,751                   | 1,751                | 1,751                | 1,802                  | 1,802               | 1,802               |
| BHCs                           | 111                     | 111                  | 111                  | 117                    | 117                 | 117                 |
| Within $R^2$                   | 0.051                   | 0.050                | 0.060                | 0.040                  | 0.031               | 0.041               |
| BHC FE                         | Yes                     | Yes                  | Yes                  | Yes                    | Yes                 | Yes                 |
| Quarter FE                     | Yes                     | Yes                  | Yes                  | Yes                    | Yes                 | Yes                 |

This table examines variation in the effect of CECL adoption on WLB gaps among adopting BHCs. Outcome construction and controls follow Table 2. *HighShare* equals one when a BHC's average heterogeneous loan share over the eight quarters before adoption is at or above the median across banks in the corresponding comparison sample. PreSize is average log assets over the same period. Both measures require at least three observed quarters. The sample and median cutoff are held fixed within each set of three columns.

Standard errors clustered by BHC are reported in parentheses. \*, \*\*, and \*\*\* denote two-sided significance at the 10%, 5%, and 1% levels, respectively.

Table 4: Risk-Function Work-Life Balance and Allowance Informativeness

|                                   | (1)<br>$t + 1$      | (2)<br>$t + 1$ to $t + 2$ | (3)<br>$t + 1$ to $t + 4$ |
|-----------------------------------|---------------------|---------------------------|---------------------------|
| Future NCO horizon                |                     |                           |                           |
| Allowance                         | 0.173***<br>(0.045) | 0.370***<br>(0.108)       | 0.595***<br>(0.186)       |
| Prior risk WLB                    | -0.000<br>(0.000)   | -0.000**<br>(0.000)       | -0.000**<br>(0.000)       |
| Allowance $\times$ Prior risk WLB | 0.001<br>(0.003)    | 0.013**<br>(0.006)        | 0.040***<br>(0.015)       |
| Observations                      | 1,489               | 1,481                     | 1,471                     |
| BHCs                              | 113                 | 111                       | 110                       |
| R Squared                         | 0.912               | 0.934                     | 0.958                     |
| Controls                          | Yes                 | Yes                       | Yes                       |
| BHC FE                            | Yes                 | Yes                       | Yes                       |
| Quarter FE                        | Yes                 | Yes                       | Yes                       |

This table examines the association between prior risk-function WLB and allowance informativeness among CECL-adopting BHCs. The dependent variable is cumulative net charge-offs over the indicated future horizon divided by quarter- $t$  gross loans and leases. Allowance is the quarter- $t$  allowance for loan and lease losses divided by the same denominator. Prior Risk and Other WLB use reviews posted during quarters  $t - 4$  through  $t - 1$ . This review window and quarter  $t$  must fall within the same accounting regime.

All specifications include prior Other WLB and its interaction with Allowance. Controls include log assets, capital ratio, EBLRP ratio, deposit ratio, loan growth, current-quarter NCO, and change in NPL. Variable definitions are provided in Appendix A.

Standard errors clustered by BHC are reported in parentheses. \*, \*\*, and \*\*\* denote two-sided significance at the 10%, 5%, and 1% levels, respectively.

Table 5: Risk WLB and Allowance Informativeness across Regimes

**Panel A: Level of Prior Risk-Function WLB**

| Future NCO horizon                      | (1)<br>$t + 1$    | (2)<br>$t + 1$ to $t + 2$ | (3)<br>$t + 1$ to $t + 4$ |
|-----------------------------------------|-------------------|---------------------------|---------------------------|
| Pre: Allowance $\times$ Prior risk WLB  | -0.003<br>(0.004) | -0.005<br>(0.008)         | 0.001<br>(0.008)          |
| Post: Allowance $\times$ Prior risk WLB | -0.002<br>(0.009) | 0.012<br>(0.018)          | 0.054***<br>(0.017)       |
| Post – Pre                              | 0.001<br>(0.011)  | 0.017<br>(0.021)          | 0.053***<br>(0.018)       |
| Observations                            | 1,486             | 1,480                     | 1,470                     |
| BHCs                                    | 112               | 111                       | 110                       |
| R Squared                               | 0.921             | 0.944                     | 0.966                     |
| Regime-specific controls                | Yes               | Yes                       | Yes                       |
| BHC $\times$ Regime FE                  | Yes               | Yes                       | Yes                       |
| Quarter $\times$ Regime FE              | Yes               | Yes                       | Yes                       |

**Panel B: Change in Risk-Function WLB**

| Future NCO horizon                       | (1)<br>$t + 1$    | (2)<br>$t + 1$ to $t + 2$ | (3)<br>$t + 1$ to $t + 4$ |
|------------------------------------------|-------------------|---------------------------|---------------------------|
| Pre: Allowance $\times \Delta Risk WLB$  | -0.001<br>(0.003) | -0.009<br>(0.010)         | -0.012<br>(0.019)         |
| Post: Allowance $\times \Delta Risk WLB$ | -0.004<br>(0.008) | 0.007<br>(0.019)          | 0.047*<br>(0.024)         |
| Post – Pre                               | -0.003<br>(0.009) | 0.016<br>(0.023)          | 0.059**<br>(0.030)        |
| Observations                             | 1,041             | 1,040                     | 1,036                     |
| BHCs                                     | 77                | 77                        | 76                        |
| R Squared                                | 0.942             | 0.956                     | 0.972                     |
| Regime-specific controls                 | Yes               | Yes                       | Yes                       |
| BHC $\times$ Regime FE                   | Yes               | Yes                       | Yes                       |
| Quarter $\times$ Regime FE               | Yes               | Yes                       | Yes                       |

This table reports regime-specific estimates of the association between risk-function WLB and allowance informativeness. Pre denotes the incurred-loss regime, and Post denotes the CECL regime. Panel A uses prior Risk WLB. Panel B uses  $\Delta Risk WLB$ , defined as prior Risk WLB minus earlier Risk WLB measured over quarters  $t - 8$  through  $t - 5$ . Panel B also includes earlier Risk WLB and its interaction with Allowance. The earlier review window may span adoption.

Variable definitions, controls, and other sample requirements follow Table 4. All coefficients and fixed effects vary by regime. Only the Allowance interactions with the focal WLB measure and their Post – Pre differences are reported.

Standard errors clustered by BHC are reported in parentheses. \*, \*\*, and \*\*\* denote two-sided significance at the 10%, 5%, and 1% levels, respectively.

Table 6: **Employee Status and Working Conditions**

| <i>Outcome</i>                                       | (1)<br>Risk – Client | (2)<br>Risk         | (3)<br>Client     | (4)<br>Risk – Other | (5)<br>Other      |
|------------------------------------------------------|----------------------|---------------------|-------------------|---------------------|-------------------|
| <b>Panel A: Former-Employee Reviewer Share</b>       |                      |                     |                   |                     |                   |
| <i>Post</i>                                          | 0.169***<br>(0.057)  | 0.166***<br>(0.058) | –0.002<br>(0.024) | 0.161***<br>(0.059) | 0.005<br>(0.021)  |
| Observations                                         | 1,826                | 1,826               | 1,826             | 1,826               | 1,826             |
| BHCs                                                 | 121                  | 121                 | 121               | 121                 | 121               |
| <b>Panel B: Current-Employee WLB</b>                 |                      |                     |                   |                     |                   |
| <i>Post</i>                                          | –0.487**<br>(0.228)  | –0.502*<br>(0.268)  | –0.015<br>(0.070) | –0.395*<br>(0.206)  | –0.107<br>(0.095) |
| Observations                                         | 1,330                | 1,330               | 1,330             | 1,330               | 1,330             |
| BHCs                                                 | 96                   | 96                  | 96                | 96                  | 96                |
| <b>Panel C: Current-Employee Workload Complaints</b> |                      |                     |                   |                     |                   |
| <i>Post</i>                                          | 0.118**<br>(0.055)   | 0.089**<br>(0.036)  | –0.029<br>(0.024) | 0.095**<br>(0.043)  | –0.005<br>(0.013) |
| Observations                                         | 1,349                | 1,349               | 1,349             | 1,349               | 1,349             |
| BHCs                                                 | 97                   | 97                  | 97                | 97                  | 97                |

This table re-estimates the specifications in Table 2 using reviewer employment status. Each column within a panel reports the *Post* coefficient from a separate regression. Panel A uses former-employee reviews as a share of reviews with current or former status and retains the sample in Table 2, Panel A. Employment status is self-reported at posting. Panels B and C use WLB ratings and workload-complaint rates, respectively, restricting reviews to current employees.

Outcome construction, controls, and fixed effects follow Table 2. Each panel uses a common sample across its five columns. Shares and complaint rates are expressed as fractions.

Standard errors clustered by BHC are reported in parentheses. \*, \*\*, and \*\*\* denote two-sided significance at the 10%, 5%, and 1% levels, respectively.

Table 7: Rating Dimensions and Complaint Categories

**Panel A: Employee Ratings**

| <i>Outcome</i>            | (1)<br>Risk – Client | (2)<br>Risk         | (3)<br>Client      | (4)<br>Risk – Other | (5)<br>Other      |
|---------------------------|----------------------|---------------------|--------------------|---------------------|-------------------|
| Work-life balance         | −0.358**<br>(0.154)  | −0.340**<br>(0.160) | 0.017<br>(0.069)   | −0.319**<br>(0.130) | −0.021<br>(0.066) |
| Overall rating            | −0.061<br>(0.109)    | −0.023<br>(0.071)   | 0.038<br>(0.072)   | −0.060<br>(0.090)   | 0.037<br>(0.067)  |
| Career opportunities      | −0.067<br>(0.177)    | 0.018<br>(0.144)    | 0.085<br>(0.114)   | −0.064<br>(0.183)   | 0.083<br>(0.089)  |
| Compensation and benefits | −0.250**<br>(0.118)  | −0.033<br>(0.105)   | 0.218**<br>(0.107) | −0.163<br>(0.117)   | 0.130<br>(0.080)  |
| Culture and values        | −0.121<br>(0.128)    | −0.012<br>(0.128)   | −0.109<br>(0.091)  | −0.067<br>(0.145)   | 0.055<br>(0.085)  |
| Senior leadership         | −0.176<br>(0.158)    | −0.048<br>(0.118)   | 0.128<br>(0.105)   | −0.122<br>(0.158)   | 0.073<br>(0.090)  |
| Observations              | 1,826                | 1,826               | 1,826              | 1,826               | 1,826             |
| BHCs                      | 121                  | 121                 | 121                | 121                 | 121               |

**Panel B: Employee Complaints**

| <i>Outcome</i>         | (1)<br>Risk – Client | (2)<br>Risk        | (3)<br>Client       | (4)<br>Risk – Other | (5)<br>Other         |
|------------------------|----------------------|--------------------|---------------------|---------------------|----------------------|
| Workload               | 0.057*<br>(0.033)    | 0.057**<br>(0.027) | 0.000<br>(0.017)    | 0.064**<br>(0.025)  | −0.007<br>(0.011)    |
| Autonomy               | −0.027<br>(0.029)    | 0.006<br>(0.025)   | 0.032**<br>(0.014)  | −0.000<br>(0.021)   | 0.006<br>(0.011)     |
| Workflow frictions     | −0.011<br>(0.053)    | −0.004<br>(0.040)  | 0.006<br>(0.020)    | −0.011<br>(0.045)   | 0.007<br>(0.014)     |
| Role pressure          | 0.001<br>(0.032)     | 0.003<br>(0.022)   | 0.003<br>(0.017)    | 0.014<br>(0.025)    | −0.011<br>(0.010)    |
| Managerial support     | 0.057<br>(0.052)     | 0.058<br>(0.041)   | 0.001<br>(0.017)    | 0.070<br>(0.048)    | −0.011<br>(0.016)    |
| Job security           | 0.042*<br>(0.022)    | 0.046<br>(0.031)   | 0.004<br>(0.017)    | 0.039*<br>(0.020)   | 0.007<br>(0.016)     |
| Career rewards         | 0.049<br>(0.071)     | 0.015<br>(0.062)   | −0.033<br>(0.026)   | 0.068<br>(0.066)    | −0.052***<br>(0.012) |
| Organizational justice | 0.037<br>(0.023)     | 0.017<br>(0.023)   | −0.020**<br>(0.009) | 0.018<br>(0.024)    | −0.001<br>(0.009)    |
| Observations           | 1,832                | 1,832              | 1,832               | 1,832               | 1,832                |
| BHCs                   | 121                  | 121                | 121                 | 121                 | 121                  |

This table re-estimates the specifications in Table 2 using alternative employee ratings (Panel A) and complaint categories (Panel B). Each cell reports the Post coefficient from a separate regression. The WLB and workload rows reproduce the corresponding estimates in Table 2 as benchmarks. The estimation sample is held fixed across all outcomes and columns within each panel.

Complaint rates are the fraction of classified reviews containing each category; categories may overlap. Outcome construction, controls, and fixed effects follow Table 2.

Standard errors clustered by BHC are reported in parentheses. \*, \*\*, and \*\*\* denote two-sided significance at the 10%, 5%, and 1% levels, respectively.

Table 8: **Allowance Informativeness in the Same-Bank Samples**

| <i>Risk-function WLB measure</i>     | (1)<br>Prior WLB   | (2)<br>Change in WLB |
|--------------------------------------|--------------------|----------------------|
| Pre: Allowance $\times$ WLB measure  | 0.000<br>(0.008)   | −0.015<br>(0.018)    |
| Post: Allowance $\times$ WLB measure | 0.073**<br>(0.030) | 0.066*<br>(0.038)    |
| Post − Pre                           | 0.073**<br>(0.027) | 0.081*<br>(0.042)    |
| Observations                         | 1,003              | 680                  |
| BHCs                                 | 46                 | 28                   |
| R-squared                            | 0.974              | 0.980                |
| Earlier Risk WLB terms               | No                 | Yes                  |
| Regime-specific controls             | Yes                | Yes                  |
| BHC $\times$ Regime FE               | Yes                | Yes                  |
| Quarter $\times$ Regime FE           | Yes                | Yes                  |

This table re-estimates Table 5, column (3) of Panels A and B, restricting each model to BHCs with observations in both accounting regimes in its estimation sample. Column (1) uses prior Risk WLB. Column (2) uses  $\Delta RiskWLB$  and controls for earlier Risk WLB and its interaction with Allowance. Variable definitions and specifications follow Table 5. Only the focal interactions and their Post − Pre differences are reported.

Standard errors clustered by BHC are reported in parentheses. \*, \*\*, and \*\*\* denote two-sided significance at the 10%, 5%, and 1% levels, respectively.

# Appendix A. Variable Definitions

Table A1: Variable Definitions

| Variable                                      | Definition                                                                                                                                                                                                                                                                                                                            | Source                            |
|-----------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------|
| <i>CECL adoption</i>                          |                                                                                                                                                                                                                                                                                                                                       |                                   |
| Adoption quarter<br>( $\tau_i$ )              | Quarter in which BHC $i$ adopts CECL. I initially identify $\tau_i$ as the first quarter in which BHCKJJ26, BHCKJJ27, or BHCKJJ28 is nonmissing and then cross-check the date against annual reports, SEC filings, and other public disclosures, making documented adjustments where needed.                                          | FR Y-9C;<br>public<br>disclosures |
| <i>Post</i>                                   | Indicator equal to one when $t \geq \tau_i$ and zero otherwise. It remains zero for BHCs that have not adopted CECL by 2024Q4.                                                                                                                                                                                                        | FR Y-9C;<br>public<br>disclosures |
| Late adopter                                  | Indicator equal to one for adopters with $\tau_i \geq 2022Q1$ and zero otherwise.                                                                                                                                                                                                                                                     | FR Y-9C;<br>public<br>disclosures |
| <i>Employee functions and review measures</i> |                                                                                                                                                                                                                                                                                                                                       |                                   |
| Risk function                                 | Reviews whose normalized job titles satisfy fixed rules identifying credit assessment and underwriting, risk management, model development and validation, and related quantitative, economic, and financial analysis. The rules are informed by responsibilities described in job postings from matched BHCs and their subsidiaries. | Glassdoor;<br>job<br>postings     |
| Client-facing                                 | Reviews classified as customer service, sales, financial advice, relationship management, loan origination, or branch management. This group is the primary comparison group in the workforce analyses.                                                                                                                               | Glassdoor                         |

*Continued on next page*

Table A1 continued

| Variable                    | Definition                                                                                                                                                                                                                                                                                                                                                                                                                                            | Source    |
|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| Other employees             | All reviews not classified as risk, including client-facing reviews and reviews with missing or insufficiently informative job titles.<br>Client-facing employees are a subset of Other, so Risk, Client, and Other are not three mutually exclusive groups. This group provides the alternative comparison group in the workforce analyses and the broader-workforce control in the allowance analyses.                                              | Glassdoor |
| <i>WLB</i>                  | Work/Life Balance rating, ranging from one to five, with higher values indicating more favorable work-life balance.                                                                                                                                                                                                                                                                                                                                   | Glassdoor |
| Risk WLB                    | Equal-weighted mean of nonmissing <i>WLB</i> ratings from risk-function reviews posted during quarters $t$ through $t + 3$ .                                                                                                                                                                                                                                                                                                                          | Glassdoor |
| Client WLB                  | Equal-weighted mean of nonmissing <i>WLB</i> ratings from client-facing reviews posted during quarters $t$ through $t + 3$ .                                                                                                                                                                                                                                                                                                                          | Glassdoor |
| Other WLB                   | Equal-weighted mean of nonmissing <i>WLB</i> ratings from reviews in the Other group posted during quarters $t$ through $t + 3$ .                                                                                                                                                                                                                                                                                                                     | Glassdoor |
| <i>WLB_gap</i>              | Risk WLB minus Client WLB for the same BHC and review window. A higher value indicates more favorable work-life balance in the risk function relative to client-facing employees.                                                                                                                                                                                                                                                                     | Glassdoor |
| <i>WLB_gap</i> (Other)      | Risk WLB minus Other WLB for the same BHC and review window.                                                                                                                                                                                                                                                                                                                                                                                          | Glassdoor |
| Function review count       | Number of reviews assigned to the indicated employee group and posted during quarters $t$ through $t + 3$ , regardless of whether the review reports a <i>WLB</i> rating.                                                                                                                                                                                                                                                                             | Glassdoor |
| Additional ratings and gaps | Overall, Career Opportunities, Compensation and Benefits, Culture and Values, and Senior Management ratings, each ranging from one to five. Senior Management is labeled Senior leadership in Table 7.<br>Group means equally weight nonmissing ratings over $t$ through $t + 3$ .<br>Gaps subtract the Client or Other mean from the Risk mean. Table 7, Panel A, uses a common estimation sample across all six rating dimensions and five columns. | Glassdoor |

Continued on next page

Table A1 continued

| Variable                       | Definition                                                                                                                                                                                                                                                                                                                                                                 | Source    |
|--------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| <i>Textual measures</i>        |                                                                                                                                                                                                                                                                                                                                                                            |           |
| Workload complaint             | Review-level indicator equal to one when a successfully classified <i>Cons</i> review describes excessive work or time demands, long hours, deadlines, workload arising from insufficient staffing or capacity, workload-related burnout, or negative work-life balance. The workload label is nonexclusive because a review may describe more than one type of complaint. | Glassdoor |
| Workload-complaint rate        | Number of successfully classified <i>Cons</i> reviews that mention workload divided by the total number of successfully classified <i>Cons</i> reviews for the indicated employee group, BHC, and $t$ -through- $t + 3$ review window.                                                                                                                                     | Glassdoor |
| Workload-complaint gap         | Risk-function workload-complaint rate minus the client-facing rate for the same BHC and review window.                                                                                                                                                                                                                                                                     | Glassdoor |
| Workload-complaint gap (Other) | Risk-function workload-complaint rate minus the Other rate for the same BHC and review window.                                                                                                                                                                                                                                                                             | Glassdoor |
| Category complaint rates       | For each category below, the fraction of successfully classified <i>Cons</i> reviews assigned that label within the employee group, BHC, and $t$ -through- $t + 3$ window. Labels are nonexclusive. Table 6, Panel B, requires at least three classified reviews per group and uses a common sample across the eight categories and five columns.                          | Glassdoor |
| Autonomy                       | Complaints about limited discretion or control over how, when, or where work is performed, including micromanagement and inflexible work arrangements.                                                                                                                                                                                                                     | Glassdoor |
| Workflow frictions             | Complaints about concrete process, system, data, or coordination obstacles that impede completion of work.                                                                                                                                                                                                                                                                 | Glassdoor |

Continued on next page

*Table A1 continued*

| Variable               | Definition                                                                                                                                                                                                                                  | Source    |
|------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| Role pressure          | Complaints about role and accountability demands, including scrutiny, targets, unclear or conflicting expectations, and changing priorities.                                                                                                | Glassdoor |
| Managerial support     | Complaints about deficient managerial or interpersonal support, including hostile management, dysfunctional team relationships, and lack of collegial support.                                                                              | Glassdoor |
| Job security           | Complaints about organizational instability or job insecurity, including layoffs, disruptive reorganizations, and uncertainty about continued employment. The table label covers both organizational instability and employment insecurity. | Glassdoor |
| Career rewards         | Complaints about compensation, benefits, recognition, promotion, professional development, or career opportunities.                                                                                                                         | Glassdoor |
| Organizational justice | Complaints about identifiable unfairness, favoritism, discrimination, retaliation, inconsistent treatment, or biased allocation of opportunities and rewards.                                                                               | Glassdoor |

*Historical workforce measures*

|                   |                                                                                                                                                                                                    |           |
|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| Prior Risk WLB    | Equal-weighted mean of nonmissing <i>WLB</i> ratings from risk-function reviews posted during quarters $t - 4$ through $t - 1$ .                                                                   | Glassdoor |
| Prior Other WLB   | Equal-weighted mean of nonmissing <i>WLB</i> ratings from reviews in the Other group posted during quarters $t - 4$ through $t - 1$ .                                                              | Glassdoor |
| Earlier Risk WLB  | Equal-weighted mean of nonmissing <i>WLB</i> ratings from risk-function reviews posted during quarters $t - 8$ through $t - 5$ .                                                                   | Glassdoor |
| $\Delta$ Risk WLB | Prior Risk WLB minus Earlier Risk WLB. Positive values indicate an improvement in risk-function work-life balance between the earlier and prior windows; negative values indicate a deterioration. | Glassdoor |

*Pre-adoption loan composition and size*

*Continued on next page*

*Table A1 continued*

| Variable                                    | Definition                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Source  |
|---------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| Heterogeneous-loan share                    | Construction and land-development loans, commercial real estate loans, and commercial loans divided by total loans and leases held for investment, using the loan categories reported in the FR Y-9C. The commercial-loan category encompasses loans and leases outside the real-estate, credit-card, and other-consumer categories. Components must be jointly observed and nonnegative, and the denominator must be positive. Missing components are not set to zero, and shares outside $[0, 1]$ are treated as missing. | FR Y-9C |
| Pre-adoption heterogeneous-loan share       | BHC-level mean of the quarterly heterogeneous-loan share over the eight quarters preceding adoption, requiring at least three observed quarterly shares. The resulting value is held fixed throughout the estimation period.                                                                                                                                                                                                                                                                                                | FR Y-9C |
| <i>HighShare</i>                            | Indicator equal to one when the BHC's pre-adoption heterogeneous-loan share is at or above the median in the relevant comparison-group estimation sample. The median is calculated across BHC-level values, so each BHC contributes once.                                                                                                                                                                                                                                                                                   | FR Y-9C |
| <i>PreSize</i>                              | BHC-level mean of unadjusted $\text{Log}(\text{Assets})$ over the same eight pre-adoption quarters, requiring at least three observed quarters. The resulting value is held fixed throughout the estimation period and is neither centered nor winsorized.                                                                                                                                                                                                                                                                  | FR Y-9C |
| <i>Allowance and realized credit losses</i> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |         |
| <i>Allowance</i>                            | Quarter-end allowance for loan and lease losses (BHCK3123), divided by quarter-end gross loans and leases (BHCK2122).                                                                                                                                                                                                                                                                                                                                                                                                       | FR Y-9C |

*Continued on next page*

Table A1 continued

| Variable                 | Definition                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Source  |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| Future NCO, $h$ quarters | $\sum_{s=1}^h NCO_{i,t+s}^{\text{amt}}/L_{i,t}$ , where $h \in \{1, 2, 4\}$ , $L_{i,t}$ is quarter- $t$ gross loans and leases, and $NCO^{\text{amt}}$ is quarterly gross charge-offs (BHCK4635) minus recoveries (BHCK4605). Year-to-date charge-offs and recoveries are converted to quarterly flows before summation, and all constituent future-quarter flows must be observed. Thus, the four-quarter measure cumulates net charge-offs realized during quarters $t + 1$ through $t + 4$ . | FR Y-9C |
| Current NCO              | $NCO_{i,t}^{\text{amt}}/[(L_{i,t} + L_{i,t-1})/2]$ . The denominator is the average of current and previous quarter-end gross loans and leases.                                                                                                                                                                                                                                                                                                                                                 | FR Y-9C |
| Change in NPL            | $(NPL_{i,t} - NPL_{i,t-1})/L_{i,t-1}$ . The NPL series uses BHCK5526 before 2018 and BHCK1403 beginning in 2018.                                                                                                                                                                                                                                                                                                                                                                                | FR Y-9C |
| <i>Bank controls</i>     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |         |
| Log(Assets)              | Natural logarithm of total consolidated assets (BHCK2170), using the units reported in the regulatory data.                                                                                                                                                                                                                                                                                                                                                                                     | FR Y-9C |
| Capital ratio            | Total equity capital including noncontrolling interests (BHCKG105), divided by total assets.                                                                                                                                                                                                                                                                                                                                                                                                    | FR Y-9C |
| EBLLP ratio              | Income before taxes plus provision expense (BHCK4301 + BHCK4230), divided by previous quarter-end gross loans and leases. The numerator uses the reported year-to-date amounts without conversion to quarterly flows.                                                                                                                                                                                                                                                                           | FR Y-9C |
| Deposit ratio            | Sum of interest-bearing and noninterest-bearing deposits in domestic and foreign offices (BHDM6631, BHDM6636, BHFN6631, and BHFN6636), divided by total assets. Missing components contribute zero to the sum.                                                                                                                                                                                                                                                                                  | FR Y-9C |
| Loan growth              | $(L_{i,t} - L_{i,t-1})/L_{i,t-1}$ , where $L$ is gross loans and leases.                                                                                                                                                                                                                                                                                                                                                                                                                        | FR Y-9C |
| Log(Employees)           | Natural logarithm of reported full-time-equivalent employees (BHCK4150).                                                                                                                                                                                                                                                                                                                                                                                                                        | FR Y-9C |

**Online Appendix.** The Online Appendix provides the supplementary analyses and construction details supporting the main text. It reports pre-adoption validation analyses, estimates that accommodate staggered CECL adoption, and sensitivity analyses for the allowance-informativeness tests. It also documents the BHC–Glassdoor matching, review collection and processing, data-integrity checks, occupational-function classification, and job-posting evidence used to refine the risk-title rules. Finally, it presents the textual-classification taxonomy and coding protocol, illustrative reviews, category frequencies, and validation tests relating the classified complaints to employee ratings. The Online Appendix is available at [<https://haozheng-wang.com/research/>].